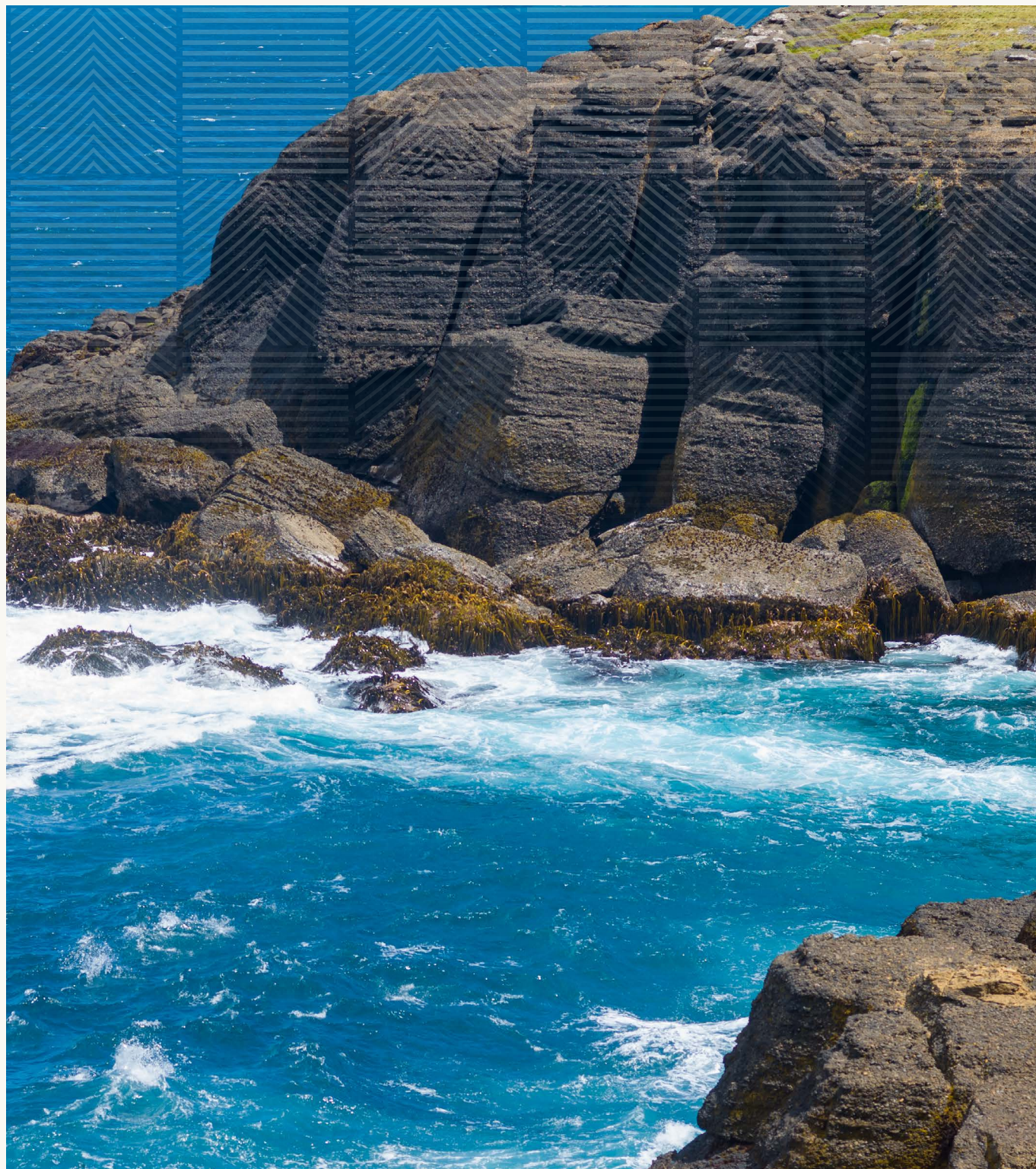


Monetary Policy Statement.

August 2025



Policy assessment.

OCR lowered to 3%

The Monetary Policy Committee today voted to lower the OCR by 25 basis points to 3 percent.

Annual consumers price index inflation is currently around the top of the Monetary Policy Committee's 1 to 3 percent target band. However, with spare capacity in the economy and declining domestic inflation pressure, headline inflation is expected to return to around the 2 percent target mid-point by mid-2026.

New Zealand's economic recovery stalled in the second quarter of this year. Spending by households and businesses has been constrained by global economic policy uncertainty, falling employment, higher prices for some essentials, and declining house prices.

There are upside and downside risks to the economic outlook. Cautious behaviour by households and businesses could further dampen economic growth. Alternatively, the economic recovery could accelerate as the full effects of interest rate reductions flow through the economy.

The Monetary Policy Committee today voted to decrease the Official Cash Rate (OCR) by 25 basis points to 3 percent. Further data on the speed of New Zealand's economic recovery will influence the future path of the OCR. If medium-term inflation pressures continue to ease as expected, there is scope to lower the OCR further.

Figure i.1

Official Cash Rate (OCR) (quarterly average)



Source: RBNZ estimates.

Christian Hawkesby
Governor

Monetary Policy Framework

The Monetary Policy Committee operates and makes decisions under the Monetary Policy Framework that comprises the following key components:

- the *Remit*;
- the *Charter*;
- the *Code of Conduct*; and
- the monetary policy strategy.

The corresponding documents to these components and additional information can be accessed on our website under the Monetary Policy Framework.

Report and supporting notes published at:

www.rbnz.govt.nz/monetary-policy/monetary-policy-statement

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Thank you to RBNZ staff for photography in this report.

Cover: Ururangi, Slope Point. Photo: Paul Conway

Monetary Policy Statement.

August 2025

Contents

Policy assessment	ii
1. Summary record of meeting	2
2. Economic assessment and monetary policy outlook	6
Box A: Summary of recent business visits	9
Box B: The effect of higher global tariffs on the New Zealand economy	14
3. Global economy and financial markets	22
4. Special topics	31
4.1 Household sector developments and outlook	33
4.2 Assessing developments in inflation expectations	37
5. Economic projections	41
6. Appendices	48
Appendix 1: Statistical tables	49
Appendix 2: Chart pack	54

The projections were finalised on 14 August 2025. The Official Cash Rate (OCR) projection incorporates an outlook for monetary policy that is consistent with the MPC's monetary policy assessment, which was finalised on 20 August 2025.

Chapter 01

Summary record of meeting



Chapter 1.

Summary record of meeting

Annual consumers price index inflation remains within the Monetary Policy Committee's 1 to 3 percent target band. Recent increases in food prices and administered prices have contributed to near-term inflationary pressure. However, domestic activity has been subdued and there remains significant spare productive capacity in the economy. Headline inflation is expected to return to around the 2 percent target mid-point by mid-2026. If medium-term inflation pressures continue to ease as expected, there is scope to lower the OCR further.

Annual CPI inflation remains within the target band

Annual consumers price index (CPI) inflation increased to 2.7 percent in the June 2025 quarter. Headline inflation is expected to reach to 3.0 percent in the September 2025 quarter, reflecting large increases in administered prices, food prices, and the prices of other tradable goods and services.

Surveyed measures of medium-term inflation expectations remain near 2 percent, consistent with the mid-point of the target band. Non-tradables inflation has continued to decline in aggregate. Measures of core inflation have declined and are within the target band. Headline inflation is expected to converge to the mid-point of the target range over the next year as tradables inflation pressures dissipate and significant spare capacity continues to reduce domestic price pressures.

Near-term inflation expectations have increased, particularly for households. Household inflation expectations have risen across several advanced economies and may be influenced by global factors such as increased trade restrictions, as well as relatively large increases in some prices such as those for food and energy.

Tariffs and economic policy uncertainty are dampening the global economic outlook

Evidence to date suggests that the global economy is responding broadly as expected to trade restrictions and policy uncertainty. Growth in some of our trading partners, particularly China, was higher than expected in the second quarter of 2025 but is expected to moderate in the coming quarters. Headline inflation has increased moderately in some advanced economies but is declining in most of our Asian trading partners.

Tariffs are causing changes to global trading patterns but have so far had a limited effect on aggregate global trade volumes. To date, there is no evidence of major disruption to global supply chains, or a material impact on the prices of New Zealand's imports or exports. The Committee noted that it continues to expect that the increase in global trade restrictions will result in less inflationary pressure in the New Zealand economy.

The effective tariff rate on New Zealand exports to the United States is higher than anticipated at the time of the *May Statement*. Some firms and industries may experience more challenging export conditions as a result. The medium-term implications for New Zealand will depend on how global demand responds to increased trade restrictions and economic policy uncertainty.

Economic growth in New Zealand is expected to recover gradually

High-frequency indicators suggest that the New Zealand economy contracted in the second quarter of 2025 and was weaker than expected at the time of the *May Statement*. Growth is expected to resume in the September quarter, consistent with a recovery in some economic indicators for July. A key judgement for the Committee's economic assessment was the extent to which spare capacity in the New Zealand economy is likely to persist.

The Committee discussed constraints on household wealth and discretionary income. Employment and hours worked have declined, and wage inflation has slowed sharply over the last year. Household dissaving since the start of 2022 has reduced savings buffers. At the same time, inflation in some essential expenditure components such as food, gas, electricity, and council rates has been much higher than the general rate of inflation. These factors were noted as likely to contribute to a slower recovery in domestic spending than would otherwise be the case.

House prices have declined to a level within the Reserve Bank's range of sustainable house price estimates. Housing is a key component of household wealth, which influences household spending. Ongoing weakness in the housing market is contributing to subdued residential construction and household consumption.

The Committee discussed the fiscal outlook. Declining government spending as a share of the economy is expected to reduce inflationary pressure in the medium term. This is consistent with the economic and fiscal projections published in the *Budget Economic and Fiscal Update 2025*.

The Committee acknowledged regional and sectoral divergences in economic activity. House price growth has varied considerably across regions. High commodity export prices are supporting activity in the agricultural sector, resulting in stronger spending in rural areas. However, to date, many agricultural businesses have used higher export revenues to pay down debt, limiting the pass-through to consumption and investment.

There is significant spare capacity in the New Zealand economy

A broad range of indicators suggest that significant spare capacity in the New Zealand economy persists. Unemployment has increased, as have measures of labour underutilisation, and firms are reporting that it is relatively easy to find labour. Firms are also reporting low levels of capacity utilisation. The Committee noted that while credit is generally available, growth in business lending has been slow.

The Committee discussed slow growth in the productive capacity of New Zealand's economy. Potential output growth has slowed, reflecting subdued investment, low productivity growth, and historically low population growth through net immigration. The Committee noted that appropriate monetary policy settings would support sustainable long-run investment and growth.

Monetary policy continues to transmit through the financial system

The Committee noted that wholesale interest rates have fallen since the May Statement, resulting in lower mortgage and term deposit rates, particularly at shorter terms. The average interest rate on the stock of mortgages is expected to continue to decline over the coming year, as about half of existing mortgages are expected to re-fix onto lower rates over the next six months. This will reduce debt servicing costs for households as past reductions in the OCR continue to transmit through the financial system.

Long-term bond yields have increased internationally over the first half of the year, with higher term premia reflecting geoeconomic uncertainty and elevated

debt levels. Despite subdued domestic activity, the New Zealand dollar TWI has been relatively stable through this period, in part due to policy developments and declining short-term interest rate expectations in the United States. Equity prices in the United States have been elevated, but this has largely been attributable to the out-performance of a few large technology firms.

The financial system remains stable

The Committee was briefed on financial system stability. Subdued demand and low profitability are contributing to financial stress for some businesses. Non-performing loans for households and businesses have increased but remain low relative to previous cycle peaks. Increased provisions and strong capital buffers mean that banks are well-prepared to absorb any losses. The Committee noted that monetary policy settings that support growth in the economy will also contribute to financial stability.

There are upside and downside risks to the economic outlook

The Committee expects headline inflation to remain within the target band over the forecast horizon. However, with inflation projected to increase to 3.0 percent in the September quarter, there is a material possibility that it rises above the target band. The period in which this is most likely to occur is too soon for monetary policy to have any meaningful effect. However, if inflation were to remain higher for longer than expected, there is a risk that this influences inflation expectations and wage- and price-setting behaviour over the medium term.

The Committee noted that increases in administered prices, such as local council rates and some energy charges, have contributed to higher-than-otherwise non-tradables inflation. Some members emphasised that these prices represent rising costs for businesses and may spill over to generalised non-tradables inflation, particularly in the near term. Other members emphasised spare capacity and weak demand, which would limit the ability of firms to pass on cost pressures to consumers.

Some members also drew attention to slow growth in parts of the economy that are most sensitive to interest rates. Residential construction, house prices, and retail activity have not materially recovered, despite monetary easing to date. On a quarterly basis, non-tradables inflation excluding central and local government charges is consistent with inflation at or below the target mid-point. Some members suggested that this may represent a downside risk to medium-term inflation. Other members emphasised that previous reductions in the OCR continue to transmit through the financial system and will take time to have their full effect on activity and inflation. Growth in interest-rate-sensitive sectors of the economy is projected to recover over the remainder of this year.

The Committee discussed the extent to which uncertainty associated with global trade restrictions is likely to limit domestic demand and inflationary pressure in the medium term. Consumption and investment demand appear to have weakened in the second quarter of 2025, partly in response to heightened trade policy uncertainty. The effects of uncertainty on domestic activity are assumed to persist over the remainder of the year. Some members emphasised the fact that some measures of uncertainty have improved considerably since May and noted a possibility that the domestic economy recovers more rapidly as the effects of uncertainty dissipate. Other members highlighted that excess supply in China and some parts of emerging Asia has the potential to lower tradable inflation in New Zealand over the medium term.

Some members also emphasised the risk that precautionary behaviour by New Zealand households and businesses may result in a weaker consumption and investment outlook than assumed, particularly in the context of slow growth in household wealth and discretionary incomes and low firm profitability. In this environment, businesses that are uncertain about potential future demand are less willing to invest, which in turn lowers potential growth and could further prolong uncertainty about future incomes and wealth. It is possible that pessimistic sentiment, together with the initial negative effects of the global tariff shock, have dampened the effects of the reduction in the OCR since last August.

The Committee noted limits to the ability of monetary policy to influence expectations of long-term growth. Some members emphasised that near-term support from monetary policy is most effective when combined with regulatory and policy settings that promote innovation and investment to support productivity growth.

The Committee voted to reduce the OCR to 3 percent

The projected path of the OCR reflects the Committee's central expectation of the path needed to ensure that inflation settles sustainably near the target mid-point. Uncertainty about the future path of the OCR is reflected in the Committee's discussion of upside and downside risks to the outlook. Some members considered the balance of risk to be to the upside relative to the projected path, while others considered the balance of risk to be to the downside.

The Committee discussed three policy options: keeping the OCR on hold at 3.25 percent; cutting the OCR by 25 basis points to 3 percent; or cutting by 50 basis points to 2.75 percent.

The case for holding the OCR steady at 3.25 percent focused on positive influences on growth. Global economic activity outside of the United States has so far proven resilient in the face of new trade barriers, and global policy uncertainty has reduced from its peaks in

April and May. The full extent of recent monetary easing is yet to fully transmit through the economy. Although high-frequency indicators suggest weak economic activity in the June 2025 quarter, available indicators for July suggest some improvement. With inflation approaching the top of the target band, and near-term inflation expectations rising, it could be prudent to pause to observe incoming data. One member gave relatively more weight to this view.

The case for lowering the OCR by 50 basis points to 2.75 percent emphasised declining inflationary pressure and significant spare capacity. Some members put relatively more weight on the risk that the negative consequences of global policy uncertainty on domestic consumption and investment are self-reinforcing and therefore more persistent. A larger reduction in the OCR might disrupt such a dynamic and generate clearer signals that support consumption and investment, whereas a gradual reduction in the OCR might not provide the same positive signalling effect. These members also emphasised that weakness in the labour market and excess capacity limits the upside risk to inflation should the economy recover more quickly than projected.

The case for lowering the OCR by 25 basis points to 3 percent was based on the upside and downside risks around the central projection being broadly balanced. Financial conditions are continuing to respond to past reductions in the OCR. They are also influenced by expectations of the future path of the OCR, which provides sufficient signalling effects. If medium-term inflation pressures continue to ease in line with the Committee's central projection, the Committee expects to lower the OCR further. Reducing the OCR by 25 basis points at this meeting provides the opportunity to adjust this view incrementally in response to new information.

On Wednesday 20 August, the Committee voted on the options of either reducing the OCR by 25 basis points or reducing the OCR by 50 basis points. By a majority of 4 votes to 2, the Committee agreed to decrease the OCR by 25 basis points to 3 percent.

Attendees:

Reserve Bank members of MPC:

Christian Hawkesby (Chair), Karen Silk, Paul Conway

External MPC members:

Bob Buckle, Carl Hansen, Prasanna Gai

Treasury Observer:

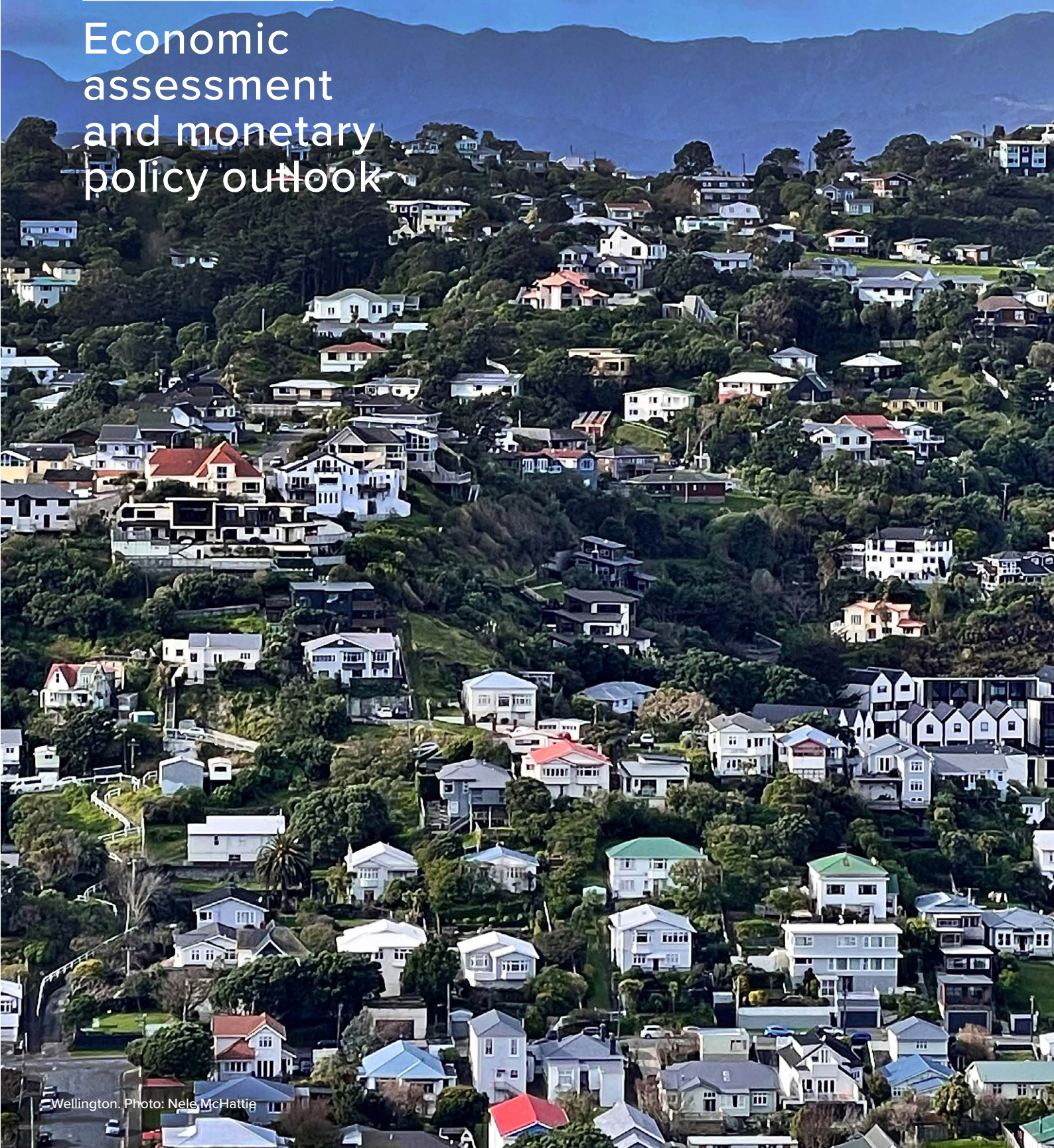
James Beard

MPC Secretary:

Evelyn Truong

Chapter 02

Economic assessment and monetary policy outlook



Chapter 2.

Economic assessment and monetary policy outlook



Key points

Inflation is within the Monetary Policy Committee's 1 to 3 percent target range. Lower interest rates and elevated export commodity prices are supporting a recovery in economic activity. However, the recovery has been uneven, with some sectors performing well while others are struggling. High dairy, meat, and horticulture prices are supporting the agricultural sector, while activity remains subdued in many industries reliant on domestic demand. Annual Consumers Price Index (CPI) inflation was 2.7 percent in the year to the June 2025 quarter.

Higher global tariffs and elevated economic uncertainty are dampening economic activity in New Zealand and in our trading partners. The introduction of new tariffs is causing changes in global trading patterns. Higher tariffs are likely to dampen growth in our major trading partners. However, it is hard to assess the degree and timing of this at present, as some economies have been purchasing more imported goods than usual in anticipation of higher tariffs. High uncertainty about global trade policies has contributed to some firms and consumers delaying spending, both overseas and in New Zealand. We have not yet seen a material effect of tariff changes on the prices of New Zealand's imports or exports. The medium-term effects of changing global trade practices will depend on a range of factors, including the degree of trade diversion and supply-chain adjustments.

The New Zealand economy expanded in both the December 2024 and March 2025 quarters, but timely indicators of activity suggest the economy contracted slightly in the June 2025 quarter. Over the past couple of years, restrictive interest rates, slower growth in government spending, falling net immigration, and subdued global growth have dampened demand in New Zealand. We expect GDP growth to increase over the coming year, as lower interest rates continue to transmit to higher demand and the effects of global economic uncertainty wane.

The New Zealand economy has significant spare capacity. The output gap — the difference between GDP and the economy's potential output — is estimated to be around -1.8 percent at present. Spare capacity in the labour market continues to increase. The unemployment rate rose to 5.2 percent in the June 2025 quarter, and most other measures of spare capacity in the labour market also increased.

Non-tradables inflation has continued to decline due to spare capacity in the economy. Annual non-tradables inflation declined to 3.7 percent in the June 2025 quarter, despite high inflation in administered prices. Annual tradables inflation increased to 1.2 percent in the June 2025 quarter, in part due to increasing food price inflation. Annual core inflation measures have declined substantially over the past couple of years, but remain in the top half of our target range. Survey measures of inflation expectations have increased, particularly at shorter terms. We expect annual CPI inflation to increase to 3 percent in the September 2025 quarter, before declining back to near 2 percent from the middle of 2026.

Conditional on the central economic outlook, we project that the OCR will decline further. The MPC has been reducing the OCR since August 2024 as inflationary pressures have eased. Lower interest rates will support the output gap to close over the medium term, and hence annual inflation to settle near the 2 percent target mid-point. Compared to the May *Statement*, the OCR is projected to decline to a lower level, mostly reflecting a weaker expected pace of GDP growth and hence more spare capacity in the economy. The outlook for output, inflation, and interest rates are subject to considerable uncertainty.



Economic assessment

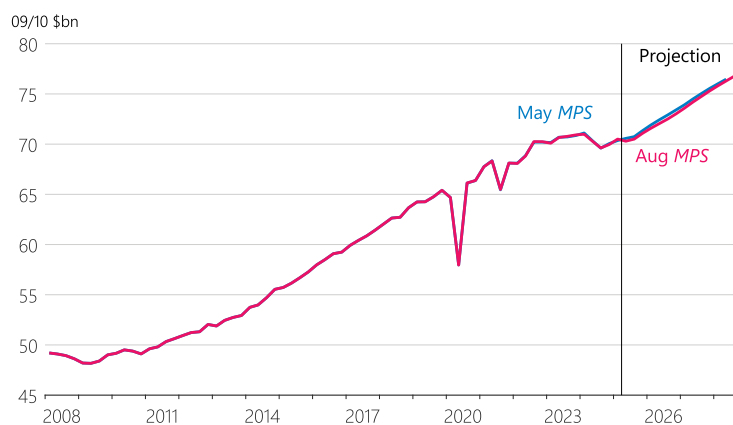
Economic activity continued to expand in early 2025

The New Zealand economy expanded by **0.8 percent** in the **March 2025 quarter**, following **0.5 percent** growth in the **previous quarter** (figure 2.1). However, GDP remained 0.7 percent lower than a year earlier, because of the sharp contraction during the middle of 2024. Growth was broad-based across industries in the March 2025 quarter. More export-oriented industries grew strongly, including agricultural and parts of manufacturing. However, the level of activity remains low in many industries reliant on domestic demand, such as retail and construction. Uneven activity across industries is consistent with what we heard from our recent round of discussions with businesses across New Zealand (see [box A](#)).

Economic growth may have stalled over the June 2025 quarter

Timely indicators of activity suggest the economy contracted slightly in the June 2025 quarter. A range of indicators of economic activity either weakened or remained consistent with economic contraction over the June 2025 quarter. These include the Performance of Manufacturing Index, the Performance of Services Index, the Quarterly Survey of Business Opinion (QSBO), the Truckometer Heavy Traffic Index, and electronic card transactions. Employment and hours worked also declined in the quarter. The Reserve Bank's GDP nowcasting model, **Kiwi-GDP**, also suggests GDP may have declined in the June 2025 quarter. In our recent discussions with firms, most reported that the economic recovery has been slower than they had expected at the start of the year.

Figure 2.1
Production GDP
(seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

Note: Production GDP is a measure of the volume of production and is expressed in 2009/2010 prices.

We assume that GDP contracted by 0.3 percent in the June 2025 quarter, but that growth will increase over the second half of 2025. We assume that weak economic activity in the June 2025 quarter partly reflects temporary factors, such as a decline in export volumes following strength earlier in the year and high global economic uncertainty over this period. Timely indicators suggest that economic activity will increase in the September 2025 quarter. Our projection for GDP growth over the second half of 2025 is similar to the *May Statement*, with GDP growth increasing as lower interest rates continue to transmit to domestic demand, high export commodity prices support incomes, and the effect of temporary factors weighing on activity wane. The level of GDP is assumed to be slightly lower over the projection period than at the time of the *May Statement*.

Box A

Summary of recent business visits

We regularly meet with a range of businesses to improve our industry knowledge and understanding of economic conditions.

Over July, Reserve Bank and Treasury staff spoke with businesses across Auckland, Waikato, Bay of Plenty, Wellington, Nelson, Marlborough, and Christchurch.

Overall, businesses reported that demand and activity remain weak, with continued weakness expected in non-primary sectors.

Demand for New Zealand meat, dairy, and horticulture products has continued to be strong, and exporter incomes have been supported by favourable exchange rates and higher commodity prices. In contrast, manufacturing, construction, and retail firms continued to report weak demand. Many firms reported that the economic recovery had been slower than they had expected, with the recovery being described as patchy.

Businesses are facing rising costs, but to a lesser extent than last year.

Most businesses said cost increases had slowed down, but they expect costs to remain at an elevated level. Costs for energy, council rates, imported materials, and transport were reported as increasing. Some firms noted their insurance costs had fallen slightly, albeit following sharp increases in recent years. Businesses continued to report difficulty passing on cost increases to customers. Exporters were an exception to this, particularly those selling premium or niche products. Increasing costs and a reduced ability to increase prices has squeezed profit margins for many businesses outside the primary sector.

Labour market conditions remain soft.

Some businesses have reduced staff numbers or hours, and some others are planning to do so. Many reported that the number of applicants for roles had remained high. Easing labour market conditions were leading to smaller wage increases than in recent years.

Investment intentions remain weak as businesses are uncertain about the economic outlook.

Larger businesses with stronger balance sheets or those in stronger-performing export sectors reported cautiously continuing investment. More domestically oriented businesses, or those with weaker balance sheets, were more focused on managing costs amid subdued demand. These reports differ somewhat from the increase in investment intentions reported in the June 2025 quarter QSBO.

Most exporting firms said that the global economic environment is increasingly difficult, and costly, to navigate.

US tariff policy was highlighted by exporters as a top issue. The effect of US tariff policy has been mixed, with the largest impacts still to be realised. However, some exporters were optimistic, that due to the relatively low tariff on New Zealand goods, their products could become relatively more competitive, increasing demand.¹

Overall, feedback from businesses supports our near-term projections for economic activity and inflation.

Weak overall demand is consistent with our assumption that GDP contracted slightly in the June 2025 quarter. Reduced pricing power is consistent with continued declines in inflation for products and services sold by businesses.

¹ Our discussions with businesses occurred prior to the announced increase in the US tariff rate on New Zealand imports from 10 to 15 percent.

Household spending is growing at a subdued pace

Household consumption growth has increased but remains subdued.

Consumption grew by 1 percent in the year to the March 2025 quarter, broadly in line with population growth. This is the highest annual growth rate since the first half of 2023, but a slow pace relative to historical averages. Weak household spending reflects previously restrictive interest rates, a weak labour market, subdued house price growth, and below-average population growth. Household consumption growth is assumed to increase further over the projection, supported by lower interest rates and higher population growth (figure 2.2). How household spending responds to lower interest rates and other drivers, such as income and wealth, will have an important influence on economic activity and inflation over the medium term (see chapter 4.1).

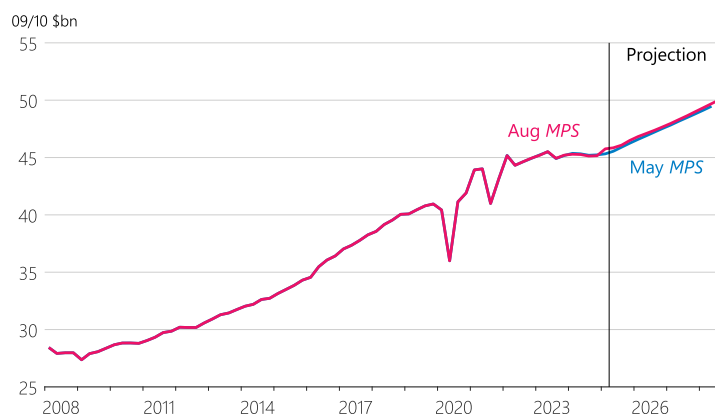
Government expenditure is declining

Government expenditure (consumption and investment) has declined as a share of the economy over the past year, and is assumed to continue to decline over the medium term (figure 2.3). Our projections are consistent with *Budget 2025*. Real government consumption is assumed to decrease as a share of the economy, more than offsetting growth in real government investment.

Private investment is expected to be subdued this year, but increase over the medium term

Business investment grew in the March 2025 and December 2024 quarters, unwinding a large decline in the September 2024 quarter. We assume that business investment declined in the June 2025 quarter, reflecting high global economic uncertainty and significant spare capacity in the economy. Business investment is expected to increase over the medium term as the effects of uncertainty wane and

Figure 2.2
Private consumption
(seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

Figure 2.3
Government consumption and investment
(share of potential GDP, seasonally adjusted)



Source: Stats NZ, NZ Treasury, RBNZ estimates.

GDP growth strengthens. The Investment Boost policy announced in *Budget 2025* is expected to encourage business investment, because it reduces the effective cost of purchasing new investment assets.

Residential investment increased 2 percent in the March 2025 quarter following six consecutive quarters of decline. We expect residential investment to remain broadly stable over 2025. Over the medium term, we assume that residential investment increases, supported by lower interest rates, higher population growth, and modest increases in real house prices (see chapter 4.1). Government initiatives to improve housing supply are also assumed to support residential investment over the medium term.

Net immigration has slowed

Net immigration to New Zealand has fallen from historically high rates in late 2023 to close to zero (figure 2.4). Lower net immigration is partly in response to weakening economic and labour market conditions in New Zealand, especially relative to Australia. Migrant arrivals have declined, and the number of New Zealand residents emigrating has increased. Slower population growth is weighing on consumption growth and housing demand, but is also reducing growth in labour supply. Our projections assume that annual potential growth has declined from 2.8 percent in 2023 to 1.4 percent in 2025, largely due to slower population growth. Potential growth is assumed to increase over the medium term as population growth increases and labour productivity growth improves gradually.

The New Zealand economy has significant spare capacity

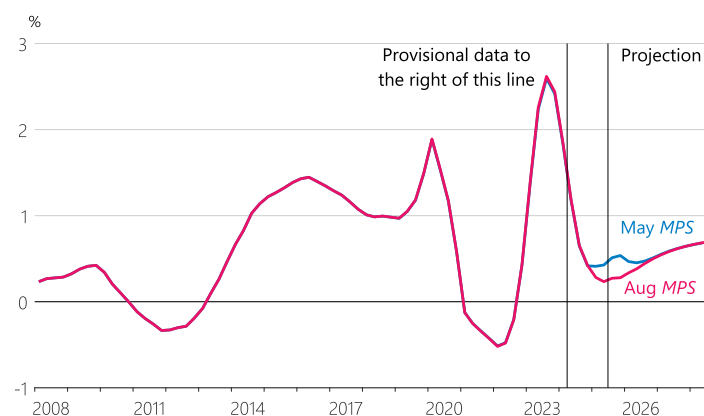
Significant spare capacity in the New Zealand economy opened up during the middle of 2024, and the degree of spare capacity has remained broadly stable since. We estimate that the output gap is about -1.8 percent of potential GDP in the September 2025 quarter (figure 2.5). Our estimate of the output gap is slightly lower than assumed in the May *Statement*, consistent with our weaker GDP forecast and continued declines in our suite of capacity pressure indicators.

The output gap is assumed to close over the medium term, beginning from late 2025. We assume that GDP growth will begin to exceed potential growth as lower interest rates continue to transmit to stronger demand, and the dampening effect of high global economic uncertainty wanes.

Figure 2.4

Net immigration

(annual, share of working-age population)

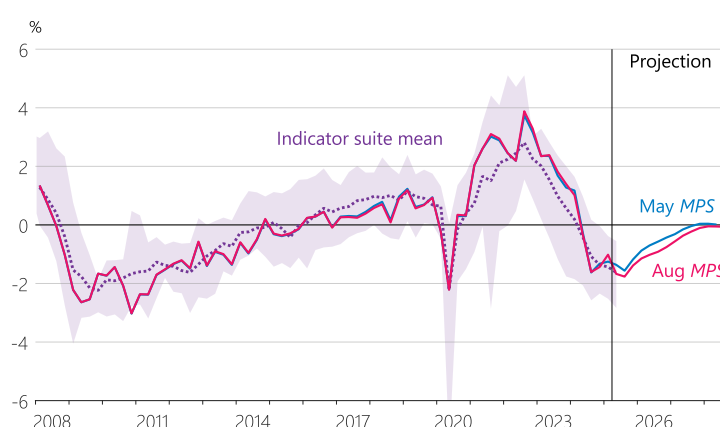


Source: Stats NZ, RBNZ estimates.

Figure 2.5

Output gap and indicator suite

(share of potential, seasonally adjusted)



Source: Stats NZ, NZIER, MBIE, RBNZ estimates.

Note: The shaded area shows the range of indicators in the suite. The vertical line shows the final quarter of published GDP data.

The labour market has weakened further

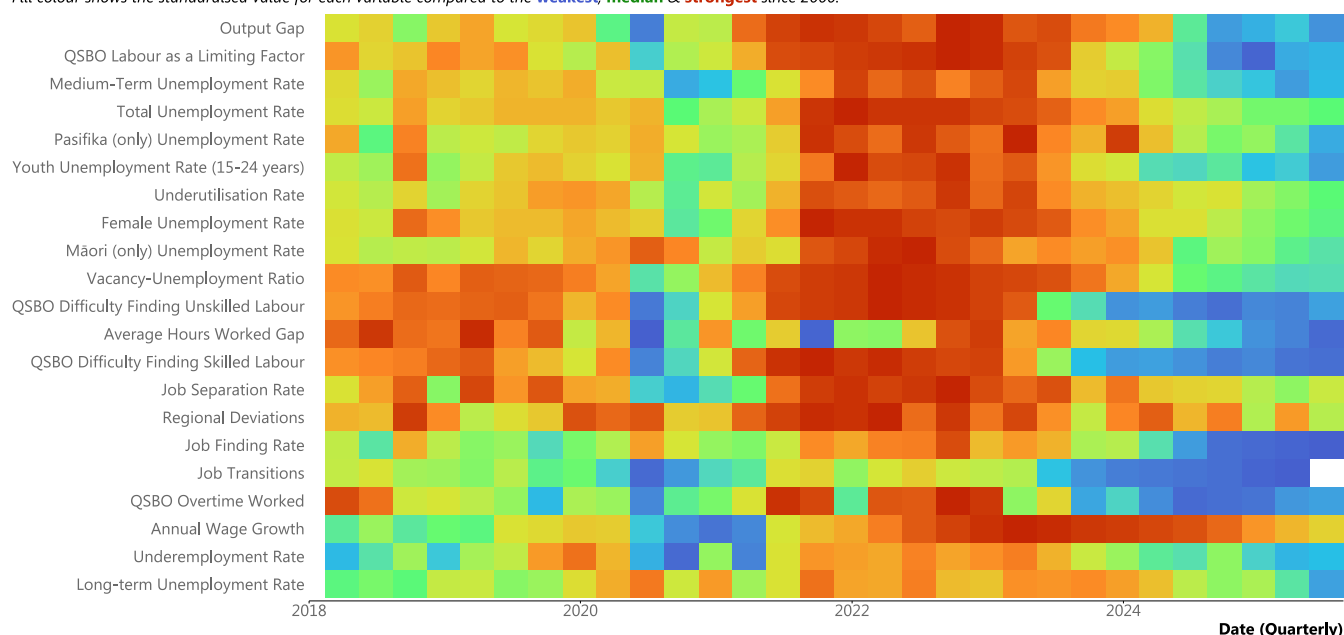
Demand for labour has decreased due to earlier declines in economic activity.

Employment declined by 0.1 percent in the June 2025 quarter. Employment was 0.9 percent lower in the June 2025 quarter than a year earlier, while the working-age population grew by 1.2 percent over the same period. Job vacancies have remained broadly flat over the past year, and are well below pre-COVID-19 levels. Participation in the labour market has fallen, consistent with some people having left the labour market due to poorer job prospects.

Figure 2.6

Labour market indicators

Fill colour shows the standardised value for each variable compared to the **weakest**, **median** & **strongest** since 2000.



A suite of measures suggests that labour market capacity pressures eased substantially during 2024 and over the first half of 2025. Most measures of labour market tightness are below their average levels since 2000 (figure 2.6). Businesses continue to report that it is easy to find workers, and movement between jobs has reduced. The unemployment rate increased to 5.2 percent in the June 2025 quarter, and is assumed to increase slightly further in the near term (figure 2.7). Over the medium term, the unemployment rate is projected to decline as economic growth recovers. The relationship between vacancies and unemployment, as illustrated by a Beveridge curve, has been broadly similar to history over recent years, with the unemployment rate rising as vacancies declined (figure 2.8).

Figure 2.7

Unemployment rate

(unemployed people as a share of the labour force, seasonally adjusted)

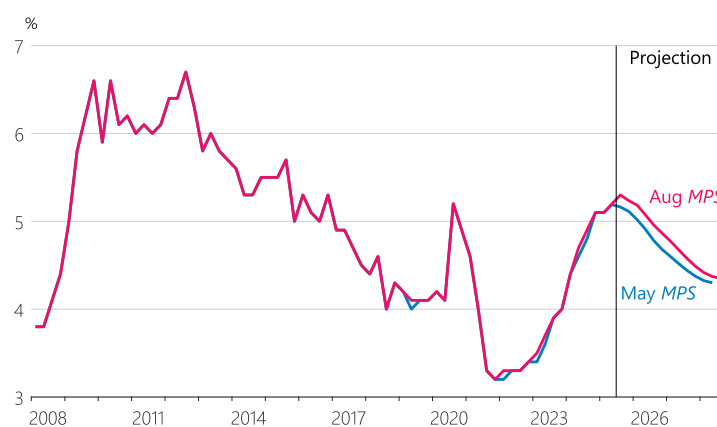
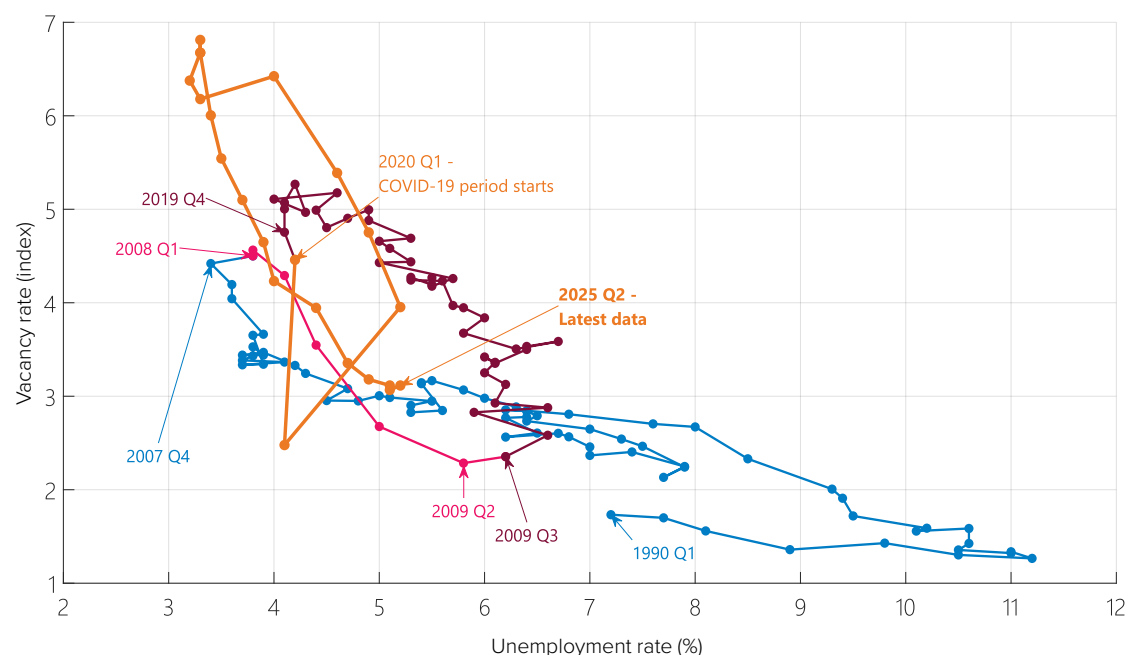


Figure 2.8
Job vacancies and unemployment (Beveridge curve)
(seasonally adjusted)



Source: Stats NZ, MBIE, ANZ, RBNZ estimates.

Note: The vacancy rate is defined as the job vacancies index divided by the labour force. Colours reflect different periods in recent history (kikorangi | blue: pre-global financial crisis (GFC); māwhero | pink: GFC; onewhoro | brown: post-GFC; uku | orange: after COVID-19).

Spare capacity in the labour market and lower inflation are contributing to slower nominal wage growth. Annual same-job wage growth, as measured by the Labour Cost Index (LCI, ordinary and overtime, private sector) was 2.3 percent in the June 2025 quarter, down from a peak of 4.5 percent in early 2023. Wage growth is assumed to ease slightly further over the remainder of this year, and remain broadly stable thereafter.

Higher global tariffs are reducing expected economic activity in New Zealand's trading partners

Higher global tariffs and elevated economic uncertainty have reduced expected economic activity in New Zealand's trading partners. The introduction of new tariffs is causing changes in global trading patterns. Higher tariffs are likely to dampen growth in our major trading partners. However, it is hard to assess the degree or timing of this at present, as some economies have purchased more imported goods than usual in anticipation of higher tariffs (see [box B](#)).²

² For more discussion about the likely effects of tariffs and uncertainty on New Zealand's economy, see [Conway \(2025\), Tariffs, turbulence, and monetary policy](#).

Box B

The effect of higher global tariffs on the New Zealand economy

Since the May Statement, the US has announced a range of tariff rate adjustments. On 31 July 2025, the US announced a revised schedule of country-specific tariffs, replacing the rates announced on 2 April 2025. Under the updated schedule, the tariff on imports from New Zealand increased from 10 to 15 percent. US tariffs on imports from most of New Zealand's other key trading partners were set between 15 percent and 20 percent, while Australia and Singapore remained at the 10 percent baseline. Some economies face much higher tariff rates, such as the 39 percent tariff on Switzerland.

US imports from Canada and Mexico that are USMCA-compliant remain tariff-free, while tariffs for non-qualifying imports are set at 35 percent for Canada and 25 percent for Mexico.³ On 12 August 2025, the US extended the suspension of additional tariffs on imports from China for

90 days, maintaining the tariff pause agreed in May 2025. The extension delays planned tariff increases by both countries while negotiations continue.

The US has engaged in bilateral negotiations with many of its trading partners, including the UK, Japan, the European Union, and Indonesia. In many cases, these arrangements established tariff rates below the April 2025 announcements and include provisions such as investment clauses, expanded quotas for US exports, and the removal of selected tariff and export restrictions.

In the May Statement we outlined the channels through which US tariff policies could affect the New Zealand economy (table B.1). Overall, we expected US tariff policies to represent a net negative demand shock for New Zealand, reducing economic activity and inflationary pressure.

Table B.1

Summary of the transmission channels of higher global tariffs to New Zealand

Key assumptions	
Global economy	• Weaker US import demand and elevated uncertainty reduce global trade and growth in New Zealand's trading-partner economies. • Tariffs disrupt global supply chains – initially through short-term adjustment frictions, and over the medium term through shifts in global production patterns. This reduces global production efficiency, lowers productivity, and places upward pressure on production costs. • Tariff-imposing countries face higher input costs, with trade diversion occurring as US import demand shifts toward countries facing lower tariff rates.
New Zealand economy	• Heightened uncertainty leads businesses to delay or cancel investment plans and causes households to reduce spending. • Export volumes decline due to weaker US demand and global growth. • Export prices fall in response to softer global demand and the reallocation of supply toward markets not imposing tariffs. • Import prices decline due to weaker global economic activity and the diversion of products away from the US.

³ The agreement between the US, Mexico, and Canada (USMCA) is a free trade agreement that has been in effect since 1 July 2020, replacing the North American Free Trade Agreement (NAFTA). This allows tariff-free trade for many goods as long as they meet specific rules.

Our assumptions remain broadly consistent with recent developments.

In most cases, it is too early to accurately assess the effects of the tariff changes. However, so far there is no evidence to suggest that tariffs are having materially different effects than we assumed in the *May Statement*.

Global trade patterns have been adapting to higher tariffs

US import demand remained robust in the period leading up to the April tariff policy announcements. This likely reflected some front-loading of imports to build inventories in anticipation of higher costs. Since tariffs took effect, US imports have declined.

There are indications of trade diversion occurring. US imports from China have declined, while US imports from selected Asian economies have increased. Over the same period, China's total exports have remained robust, as reduced exports to the US have been broadly offset by increased exports to those same Asian economies (see chapter 3). The speed and scale of recent trade flow shifts suggest that some trade is being rerouted through other economies in response to tariff differentials.

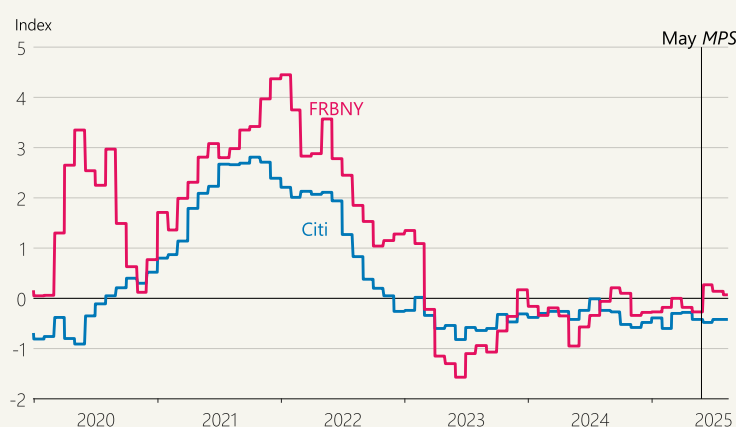
Global supply chains are functioning well. Global supply chain pressure indicators are at low levels (figure B.1). Supply chains are likely to adjust over the medium term as production shifts geographically.

US producer prices have increased in some sectors, but the effect on New Zealand is expected to be limited. Most affected products are not significant within the composition of New Zealand's imports from the US.

Global growth in the first half of 2025 was stronger than expected, but we continue to anticipate a decline in global growth due to tariff policy (see chapter 3). Near-term outcomes, such as resilient US import demand and trade diversion through changes in trade routes, likely reflect temporary adjustments. It will take time for global economic activity to adjust to the new tariff regime, and for the underlying impacts on growth, trade, and prices to become evident.

Figure B.1

Measures of global supply chain pressure



Source: Federal Reserve Bank of New York (FRBNY), Citi Research, Bloomberg.

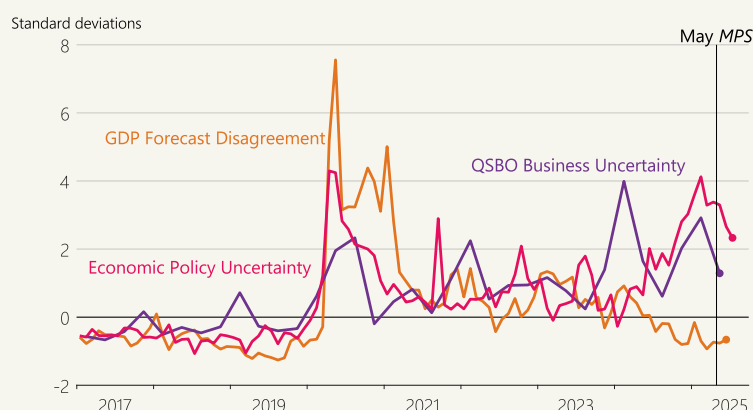
Note: FRBNY Global Supply Chain Pressure Index is a composite of global transportation cost and manufacturing PMI indicators standardised over 1997 to the latest data point. Citi Global Supply Chain Pressure Index is a composite of shipping costs, PMI delivery times, backlogs, input prices, and inventory measures, normalised to its historical average.

It remains too early to observe clear tariff effects on the New Zealand economy

It is too early to assess the effects of higher tariffs on New Zealand's imports and exports. Higher US import demand ahead of the implementation of tariffs may have partly contributed to stronger goods export volumes in the March 2025 quarter. However, it is highly uncertain how US import demand will evolve over the medium term. Stable supply chain conditions and broadly unchanged global producer prices this year suggest limited effects on New Zealand imports to date, but this could change over time.

Overall, uncertainty measures have declined since the **May Statement**, broadly as assumed in the **May Statement** (figures B.2 and B.3).⁴ Measures based on news articles remain elevated compared to historical averages, while most non-news measures have decreased to relatively low levels. Timely indicators of economic activity suggest that GDP contracted in the June 2025 quarter, which may in part reflect heightened global economic uncertainty. However, it is too early to assess the effect of uncertainty on business investment and household spending as June 2025 quarter data are not yet available. Survey measures point to an increase in business investment intentions, although our discussions with businesses indicated more subdued investment plans (see **box A**). Some indicators point to subdued household spending growth, such as electronic card transactions, house price growth, and consumer confidence.

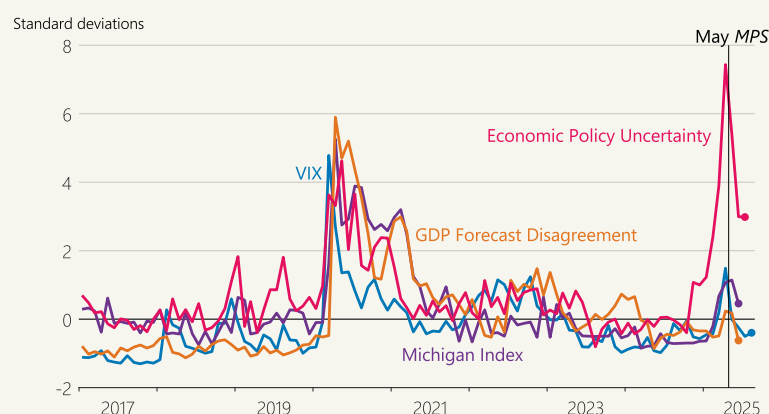
Figure B.2
Measures of New Zealand uncertainty
(standardised)



Source: NZIER, Sense Partners, Consensus Economics, RBNZ estimates.

Note: All measures are standardised in their base frequencies from 1997 to their latest data point.

Figure B.3
Measures of US uncertainty
(standardised)



Source: Policyuncertainty.com, University of Michigan, Consensus Economics, Cboe Global Markets, RBNZ estimates.

Note: All measures are standardised in their base frequencies from 1997 to their latest data point.

⁴ See [chapter 4.1 in the May Statement](#) for more discussion of the effect of uncertainty on the New Zealand economy.

The global growth outlook has stabilised since the May Statement (see chapter 3). Consensus forecasts were initially sharply downgraded following the announcement of higher tariff rates by the US in early April 2025 (figure 2.9). However, forecasts have since been revised up slightly, as the implementation of some higher tariff rates was delayed, and expectations for future tariff rates decreased and became less uncertain. Stronger GDP growth rates in the June 2025 quarter and expectations for additional fiscal stimulus in some economies have also contributed to slightly higher expected growth.

Headline inflation in New Zealand's trading partners has declined over the past year (figure 2.10). The outlook for inflation in New Zealand's trading partners has fallen over the past couple of months. Higher US tariffs will place upward pressure on inflation in the US via higher import costs. However, lower global growth may put downward pressure on inflation elsewhere.

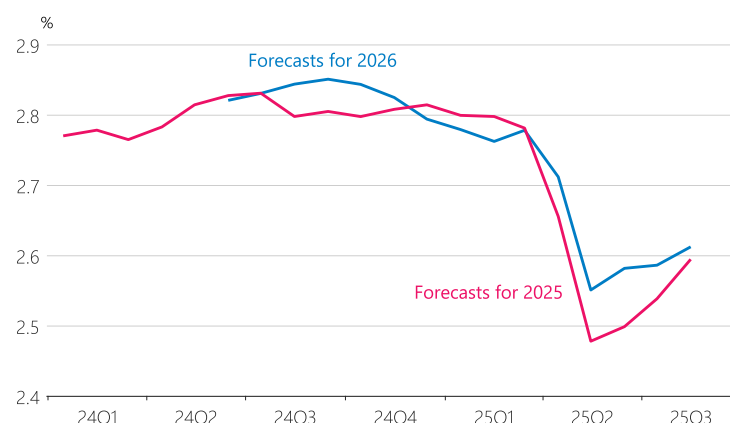
Higher tariffs and uncertainty are assumed to reduce inflationary pressure in New Zealand

Declining inflation in most of our trading partners, weaker global growth, and high global uncertainty are likely to reduce inflationary pressure in New Zealand.

Our assumptions about the effects of tariffs and uncertainty are similar to those in the *May Statement*, but the effects on the New Zealand economy are highly uncertain (see [box B](#)).

New Zealand goods export prices and volumes are declining following strength over the start of 2025. Merchandise trade data suggest that goods export volumes declined in the June 2025 quarter, reversing a large increase in the March 2025 quarter. This recent decline appears broad-based across different export categories. Some of the strength in export volumes in early 2025 may have been due to front-loading of purchases by importers seeking to build inventories in the face of uncertainty about global tariff policy.

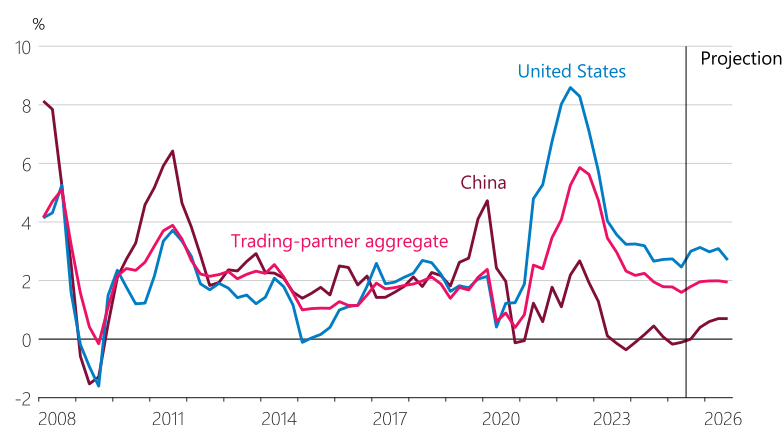
Figure 2.9
Evolution of trading-partner growth forecasts
(calendar year)



Source: Bloomberg, RBNZ estimates.

Note: This figure shows the evolution of Bloomberg consensus forecasts for annual GDP growth in New Zealand's trading partners in the 2025 and 2026 calendar years.

Figure 2.10
Trading-partner CPI inflation
(annual)



Source: Bloomberg, Haver Analytics, RBNZ estimates.

Note: Projections show consensus forecasts from Bloomberg. Trading-partner aggregate is based on 17 of New Zealand's largest trading partners.

Over the past year, prices for New Zealand's exports have increased substantially, reflecting both increasing demand and reduced global supply for some of our key export commodities (figure 2.11). High export prices, for agricultural products in particular, are supporting incomes and spending in New Zealand. However, export prices are assumed to decline from the September 2025 quarter, consistent with declines in timely indicators of export prices, particularly for dairy.

The New Zealand dollar exchange rate is slightly lower than at the time of the May Statement, while international oil prices are slightly higher. The lower New Zealand dollar exchange rate reflects both global factors and lower interest rates in New Zealand (see chapter 3). International oil prices increased briefly during the escalation in conflict between Iran and Israel in June 2025, and have since settled at a slightly higher level than at the time of the May Statement.

Inflation is expected to increase in the September 2025 quarter, before returning to near the MPC's 2 percent target mid-point

Annual headline CPI inflation increased to 2.7 percent in the June 2025 quarter.⁵

Annual non-tradables inflation decreased to 3.7 percent, as expected in the May Statement. Annual tradables inflation increased to 1.2 percent, higher than expected in the May Statement.

Annual core inflation measures have declined significantly in recent years, but remain in the top half of our target range (figure 2.12). Movements in annual core inflation measures were mixed in the June 2025 quarter, remaining unchanged at 2.5 percent on average. Quarterly measures of core inflation declined in the June 2025 quarter, and on average are at a rate consistent with 2 percent inflation if sustained.

Figure 2.11

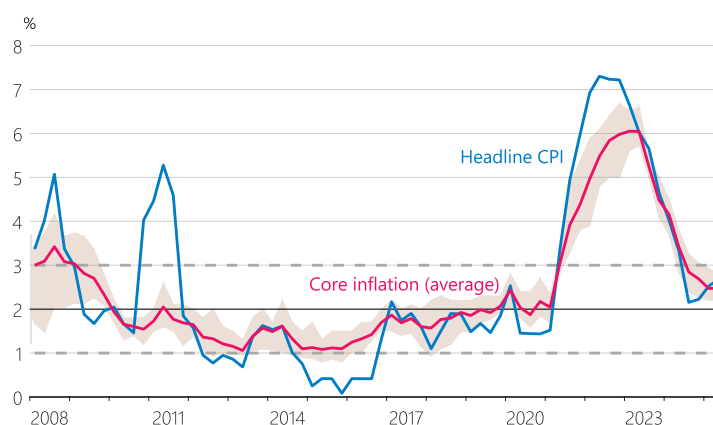
New Zealand export prices (real, foreign currency terms)



Source: Stats NZ, RBNZ estimates.

Figure 2.12

Headline and core inflation measures (annual)



Source: Stats NZ, RBNZ.

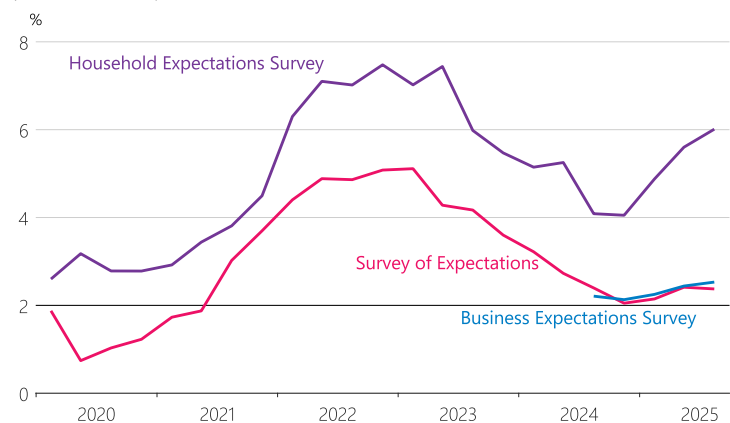
Note: The dashed lines represent the MPC's 1 to 3 percent target range for inflation over the medium term. The shaded area shows the range of core inflation measures. The core inflation measures include the sectoral factor model, factor model, trimmed mean (30%), weighted median, and CPI excluding food and energy.

⁵ Stats NZ announced on 1 May that increases in vehicle relicensing fees were erroneously not included in the March 2025 quarter data. If these data had been included, annual headline inflation would have been 2.6 percent, not 2.5 percent. Stats NZ did not revise the released data, but instead accounted for higher vehicle relicensing fees in the June quarter.

Survey measures of short-term inflation expectations have increased since the start of the year (figure 2.13). The increase in short-term inflation expectations of professional forecasters and businesses has been small, and consistent with the increase in annual CPI inflation over the first half of 2025. However, household inflation expectations have increased more sharply. Household inflation expectations have increased sharply in many economies, which may reflect uncertainty amongst some households about the effect of recent increases in global tariffs on inflation (see chapter 4.2). Longer-term inflation expectations of professional forecasters and business leaders from our Survey of Expectations have increased slightly but remain near 2 percent.

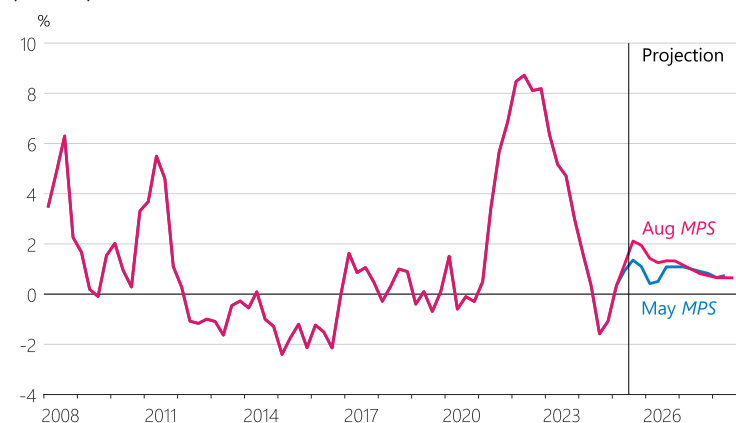
Annual tradables inflation increased to 1.2 percent in the June 2025 quarter from 0.3 percent in the March 2025 quarter (figure 2.14). This was higher than our May *Statement* forecast. Higher inflation for food items (including dairy, meat, and fruit) and recreation (including overseas accommodation and streaming services) accounted for the increase in tradables inflation. Annual tradables inflation is expected to increase further in the September 2025 quarter, but then decline slightly over the medium term as inflation in food and recreation categories eases.

Figure 2.13
Inflation expectations 1 year ahead
(mean, annual)



Source: RBNZ.

Figure 2.14
Tradables inflation
(annual)



Source: Stats NZ, RBNZ estimates.

Annual non-tradables inflation has continued to decline, falling from 4.0 percent in the March 2025 quarter to 3.7 percent in the June 2025 quarter (figure 2.15). This was as expected at the time of the May *Statement*. Non-tradables inflation has been declining since 2023 as capacity pressures have eased, and as price-setting behaviour has been adapting to a low-inflation environment. Inflation in administered prices is contributing significantly to non-tradables inflation, and at 10.8 percent in the year to the June 2025 quarter is at its highest level since at least 1990 (figure 2.16).⁶ Inflation in non-tradables categories that are relatively sensitive to monetary policy has fallen to below pre-COVID-19 rates.⁷ For instance, annual new dwelling construction inflation declined to 0.8 percent in the June 2025 quarter, its lowest level since 2009.

Spare capacity in the economy is expected to flow through to lower non-tradables inflation over the coming year. We expect further reductions in inflation rates across a range of non-tradables inflation categories. Inflation for labour-intensive services is likely to decline, consistent with lower growth in labour costs. Rental inflation is expected to ease further. Rental inflation for new tenants has declined significantly, reflecting low population and income growth, and this will feed through to lower inflation for the stock of rentals over time.

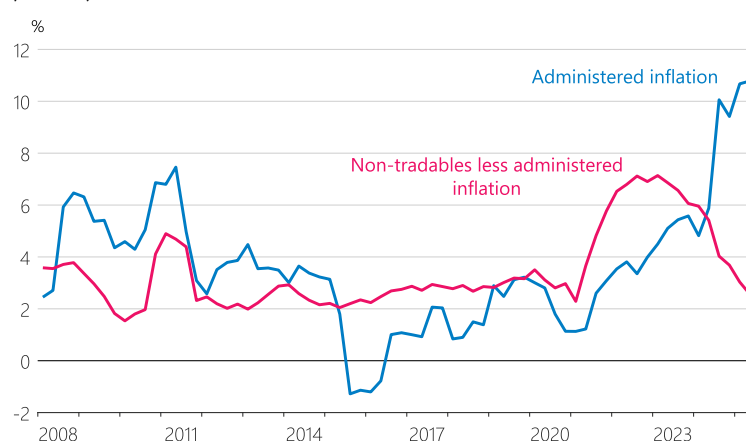
Inflation for items less sensitive to monetary policy is high but expected to ease over time. Household energy price inflation has increased substantially over the past year, partially reflecting higher wholesale electricity prices. Increases in electricity lines charges regulated by the Commerce Commission added significantly to electricity prices in the June 2025 quarter. Insurance inflation has fallen from high rates experienced following severe storms and floods in 2023 and is likely to decline further over the rest of this year.

Figure 2.15
Non-tradables inflation
(annual)



Source: Stats NZ, RBNZ estimates.

Figure 2.16
Composition of non-tradables inflation
(annual)



Source: Stats NZ, RBNZ estimates.

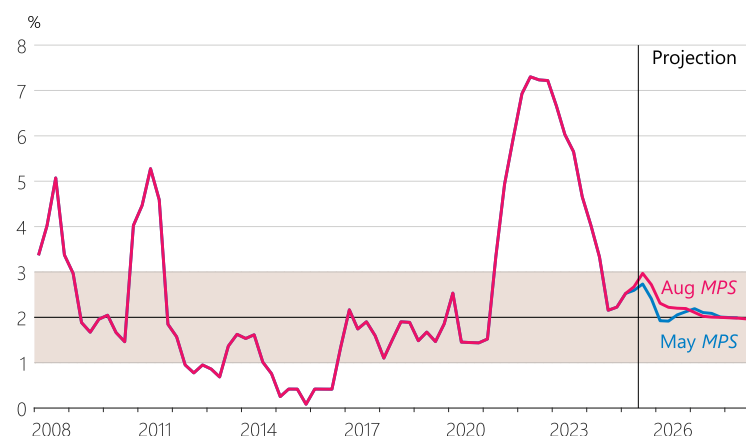
Note: Administered inflation is measured using the 'central and local government charges' series produced by Stats NZ.

Local authority rate increases — which take effect in September quarters — are contributing significantly to non-tradables inflation. While rate increases for 2025 are lower on average than last year, they are still substantially higher than historical averages. We expect administered price inflation to ease over time in line with lower general inflation, but inflation in this category may remain higher than other non-tradables categories for some time.

⁶ This is based on the 'central and local government charges' series produced by Stats NZ. It incorporates a wide range of prices set or heavily influenced by central or local government. Items contributing to high inflation in this series at present include local authority rates, electricity, university fees, and vehicle relicensing fees.

⁷ See Åstebøl and Patel (2025), *Sectoral heterogeneity in monetary policy pass-through in New Zealand*.

Figure 2.17
CPI inflation
(annual)



Source: Stats NZ, RBNZ estimates.

Note: The shaded area represents the MPC's 1 to 3 percent target range for inflation over the medium term.

Annual headline inflation is forecast to increase to 3 percent in the September 2025 quarter, before returning to near the 2 percent target mid-point by the middle of 2026 (figure 2.17). CPI inflation is expected to be slightly higher over the next 12 months compared to the May *Statement*. This reflects a higher outlook for tradables inflation more than offsetting a lower outlook for non-tradables inflation over this period.

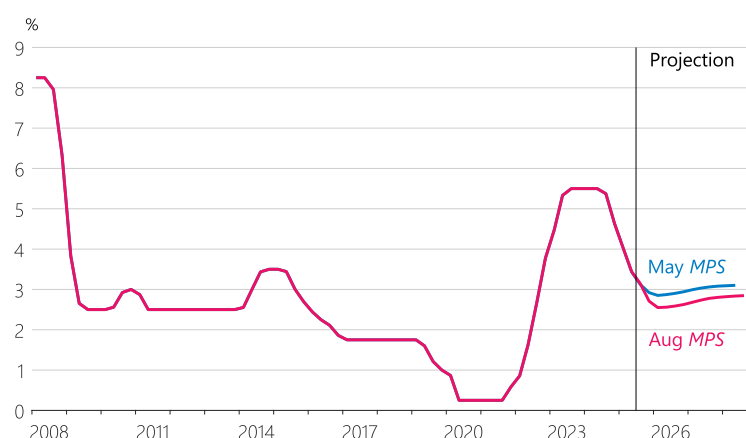


Monetary policy outlook

Conditional on the central economic outlook, we assume that the OCR will decline further (figure 2.18). The MPC has been reducing the OCR since August 2024 as inflationary pressures have eased. Lower interest rates will support the output gap to close over the medium term, and hence annual inflation to settle near the 2 percent

target mid-point. Compared to the May *Statement*, the OCR is projected to decline to a lower level, mostly reflecting a weaker expected pace of GDP growth and hence more spare capacity in the economy. The outlook for output, inflation, and interest rates are subject to considerable uncertainty.

Figure 2.18
OCR
(quarterly average)



Source: RBNZ estimates.

Chapter

03

Global economy and financial markets

Chapter 3.

Global economy and financial markets



Key points

US tariff rates have been volatile and remain elevated. Since the *May Statement*, the US has conducted trade negotiations with many countries, but the average US effective tariff rate is broadly in line with our assumptions in May. Global trade has remained robust despite increased tariffs, although trade is expected to weaken over the second half of 2025.

Consensus forecasters expect global growth to weaken and inflation to diverge among countries. Global growth forecasts have been revised higher since the *May Statement*, mainly accounted for by a stronger growth outlook for China. However, growth in New Zealand's main trading partners is still expected to be lower this year than was expected prior to US tariff announcements. Outside the US and Canada, higher tariffs are still expected to be disinflationary over the medium term. In the US, tariffs have had a minor inflationary impact so far, although this effect is expected to increase.

Financial market sentiment has improved following heightened volatility earlier this year. US equity prices have increased, with particularly large gains in large technology companies. Oil prices have increased slightly since the *May Statement*, having stabilised following elevated volatility in June during the conflict between Iran and Israel. The US dollar (USD) has continued to depreciate against a basket of currencies since the *May Statement*.

Domestic financial conditions have continued to ease in response to a lower OCR, although the pace of easing in financial conditions has slowed over recent months. Domestic wholesale rates have declined modestly, reflecting both global factors and weak domestic macroeconomic data (see chapter 2). The New Zealand dollar (NZD) trade-weighted index (TWI) has depreciated but remains stronger than at the start of the year. Mortgage and term deposit rates have also continued to decline across most terms.

Global economic conditions

US tariff rates have been volatile and are settling at significantly higher rates

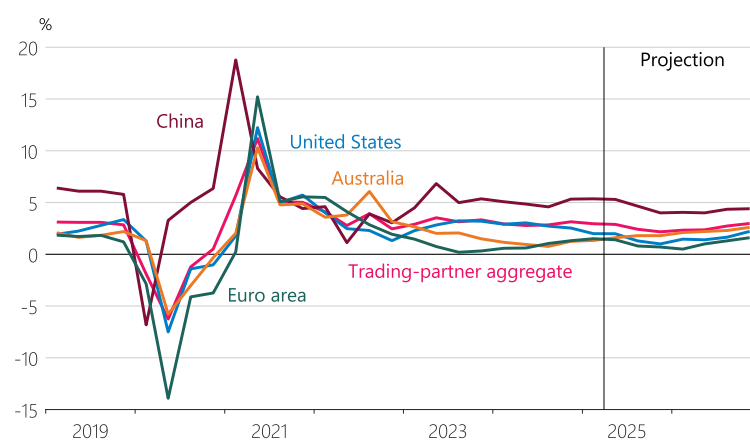
Global trade uncertainty has fallen but remains elevated. Recent US tariff announcements have provided some clarity. The US has conducted trade negotiations with many of its trading partners since the *May Statement*. While several major economies secured tariff rates lower than those announced on 2 April 2025, others now face higher tariff rates than previously announced, including New Zealand. Overall, the average US effective tariff rate is broadly in line with our assumptions in the *May Statement*, with some regional differences (see **box B**, chapter 2). For example, countries across Asia (excluding China) now face higher tariffs than we assumed, while the effective tariff rates in Mexico and Canada are lower.⁸ So far, only a small number of countries have responded with increased tariff rates on the US.

Global trade has remained robust despite higher tariffs. US imports declined in the June 2025 quarter from elevated levels in March, but were only marginally weaker than December 2024 levels. In China, a large decline in exports to the US has been offset by increased exports to other countries, particularly in Southeast Asia and the euro area. This is likely in part the result of a weaker Chinese yuan and shipments to the US being rerouted through intermediate countries. With elevated tariff levels set to persist following the 31 July 2025 announcements, global trade is expected to weaken over the second half of 2025.

Global growth expectations have been revised higher but remain weak

Bloomberg consensus forecasts for aggregate GDP growth across our trading-partner economies have improved marginally since the *May Statement*, largely due to stronger growth expectations for China. Consensus expectations for annual growth for our trading partners in 2025 has increased to 2.6 percent, from 2.5 percent at the time of the *May Statement* (see figure 3.1). However, higher global trade barriers are still expected to lower global growth rates over coming years. Consensus forecasts remain weaker than prior to the tariff announcements in early April.

Figure 3.1
Trading-partner GDP growth
(annual)



Source: Haver Analytics, Bloomberg, RBNZ estimates.

Note: Projections show consensus forecasts from Bloomberg. Trading-partner aggregate is based on 16 of New Zealand's largest trading partners.

⁸ Over recent months, more goods exported from Canada and Mexico to the US have been recognised as compliant with the USMCA.

Consensus forecasts for GDP growth in China have improved. Annual GDP growth is expected to be 4.8 percent in 2025, higher than was expected prior to US tariff announcements in April 2025. The outlook has been supported by better-than-expected economic data over the first half of 2025, robust export growth, and increased confidence in the ability of fiscal policy to offset the impact of higher tariffs.

Economic growth in the US has slowed over recent quarters. Uncertainty has been elevated among businesses and consumers for much of this year, largely stemming from trade and other government policies. This has coincided with lower confidence and a material weakening in household consumption over the first half of 2025. Quarterly real consumer spending growth has moderated from 1 percent in the December 2024 quarter to about 0.4 percent in the June 2025 quarter (figure 3.2). Likewise, labour market indicators have softened as firms have held back on hiring. Growth in the labour force has slowed amid lower net immigration flows.

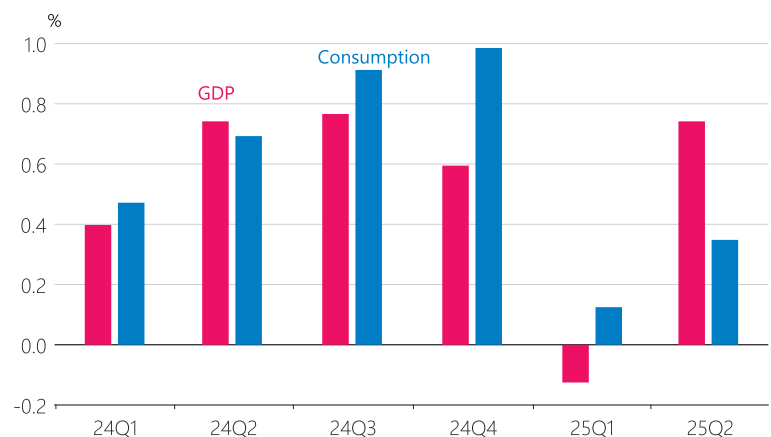
Global inflation has eased in recent months, but is expected to diverge among countries over coming quarters

Global inflation has continued to decline through 2025. Annual inflation in our trading partner economies declined 0.2 percentage points to 1.6 percent in the year to the June 2025 quarter (figure 3.3). Core inflation, which excludes energy and food prices, has continued to decline in many advanced economies. However, goods inflation has increased in some regions. In emerging Asia, inflation has remained low.

Consumer prices in the US have shown a minor impact from tariffs so far. Annual core CPI inflation was 3.1 percent in July, up from 2.9 percent in June. While the increase contained some signs of tariff-related cost increases passing through to consumer prices, this transmission has been slower and weaker than previously expected by consensus forecasters.

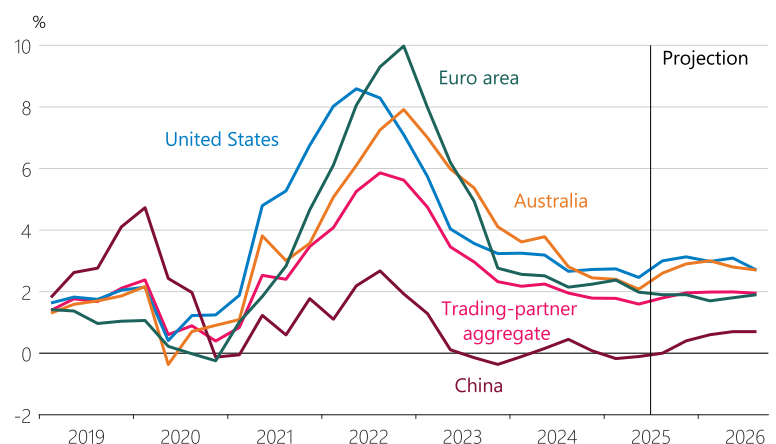
New Zealand trade-weighted global headline inflation is expected to increase over the second half of 2025, although with regional differences. In Australia, headline inflation is expected to increase as cost-of-living support measures come to an end. In the US, higher tariffs are expected to continue feeding through to consumer prices over coming quarters. In China, inflation is expected to increase from very low levels amid looser fiscal policy settings. In contrast, inflation in the euro area is projected to continue declining due to easing wage pressures.

Figure 3.2
US GDP and personal consumption expenditure growth
(quarterly)



Source: Haver Analytics.

Figure 3.3
Trading-partner inflation
(annual)



Source: Haver Analytics, Bloomberg.

Note: Projections show consensus forecasts from Bloomberg. Trading-partner aggregate is based on 17 of New Zealand's largest trading partners.

Global financial conditions

Most central banks have kept their policy rates unchanged over recent months

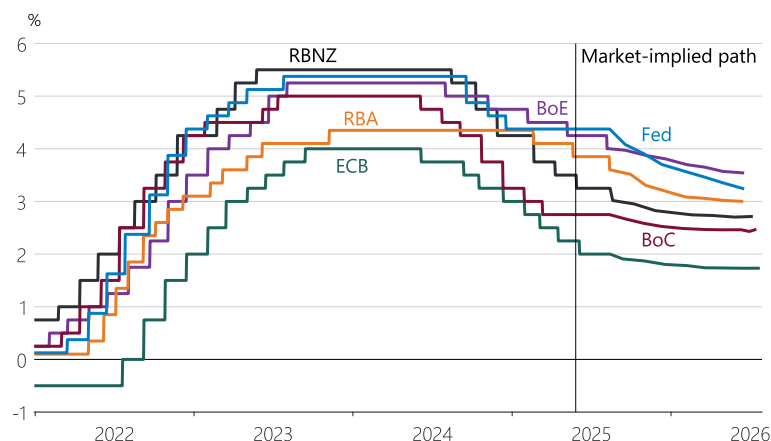
Financial market participants' expectations of further monetary policy easing vary across regions (figure 3.4). In Canada and the euro area, little further easing is priced over the next 12 months as their policy rates are now close to central bank estimates of neutral. In both regions, central banks have kept their policy rates unchanged at recent meetings. In contrast, market participants are pricing further easing in Australia, the UK, and the US over the remainder of this year and into next year. This would reduce the restrictiveness of their monetary policy stances.

Changes in sovereign bond yields have varied across countries since the May Statement. 10-year US Treasury bond yields have fallen about 30 basis points since the *May Statement*, in line with lower policy rate expectations in the US. In Germany, equivalent yields have increased about 15 basis points due to increased plans for debt issuance.

Global equity prices have increased

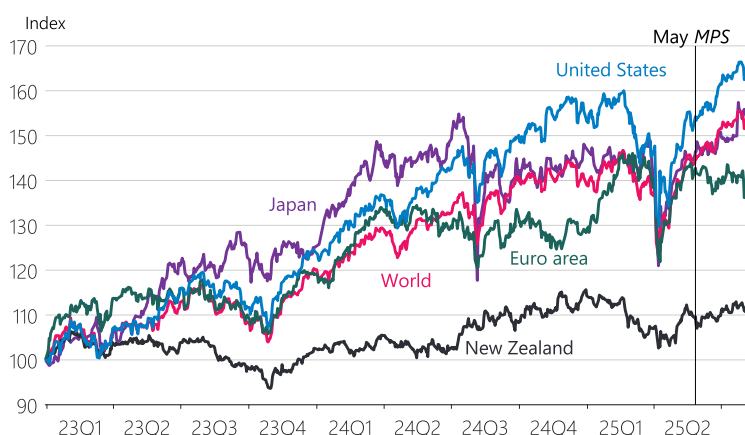
Global equity markets have strengthened since the May Statement, supported by a recovery in risk sentiment (see figure 3.5). While US trade policy developments have continued to influence market pricing, recent announcements have had a smaller impact than those earlier in the year. Japanese equities rose nearly 9 percent following the finalisation of a US–Japan tariff agreement. Market optimism appeared to be due to a lower effective tariff rate and a specific exemption for Japanese vehicle exports. In contrast, the US–EU deal has weighed on European equities relative to other markets and are little changed since the *May Statement*.

Figure 3.4
Market-implied path of policy rates



Source: Bloomberg.

Figure 3.5
Global equity prices
(index = 100 on 30 December 2022)



Source: Bloomberg.

Note: Daily closing values of headline equity price indices in local currency terms. Indices are S&P/NZX 50 (New Zealand), Euro Stoxx 50 (euro area), S&P 500 (United States), TOPIX (Japan), and MSCI World (World).

The US S&P 500 has increased 10 percent since the May Statement. Strong performance has been led by large technology companies that have benefited from AI-related earnings and increased earnings expectations. Non-technology focused companies have also benefited from a rise in investor risk sentiment. However, price-to-earnings ratios suggest that heightened US policy uncertainty and expectations of a weaker US economy continue to weigh on valuations compared with levels prior to the US tariff announcements in April 2025.

Oil prices have increased, and the USD has continued to depreciate

Brent crude oil prices are about 2 percent higher than at the time of the May

Statement. Conflict between Iran and Israel in June led prices to rise by about 20 percent compared to the time of the *May Statement*, although they declined following the announcement of a ceasefire. More broadly, oil prices have faced downwards pressure this year from weaker global growth expectations and increasing supply commitments from OPEC+.

The USD has continued to depreciate

since the May Statement. The US Dollar Index (DXY), which tracks the USD against a basket of major currencies, is 1.5 percent lower over this period and has depreciated by around 10 percent since the start of 2025. The depreciation earlier this year appears to have been due to global investors reducing their exposure to the USD amid heightened uncertainty around US policy. The Bank for International Settlements noted this was largely a result of increased hedging activity among non-US investors. Since the *May Statement*, the USD has stabilised and recent changes in the value of the USD appear more aligned with traditional drivers. Expectations for more policy rate cuts in the US relative to other major economies has supported the depreciation in the USD over this period.

Domestic financial conditions

Domestic financial conditions have continued to ease, supported by the lower OCR. Wholesale interest rates, such as swap rates, have declined modestly, reflecting declines in global interest rates and weak domestic macroeconomic data. Financial market participants have lowered their expectations for the OCR over 2026. The NZD has depreciated on a trade-weighted basis. Most retail mortgage and term deposit rates have declined. Term deposit rates have fallen by more than equivalent wholesale rates, contributing to lower-than-otherwise bank funding costs.

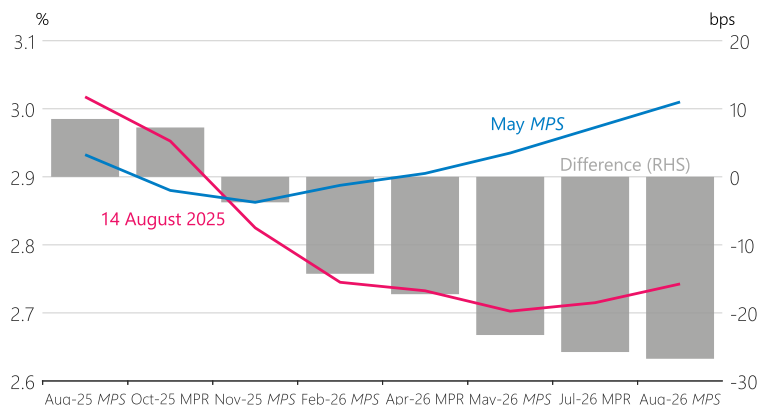
Expectations for the OCR over the medium term have decreased

Market participants expect further reductions in the OCR over the next year, and to a lower level than at the time of the May Statement (figure 3.6). Market participants' expectations for the OCR at the August and October 2025 meetings have increased. This is consistent with a slightly slower pace of monetary policy easing over the near term than expected at the May Statement. However, market participants now expect the OCR will trough around 2.7 percent in the June 2026 quarter, lower and later than expected at the time of the May Statement. This is in part due to weaker domestic economic conditions.

Swap rates have declined slightly since the May Statement (figure 3.7). Most of this decline occurred in the first week of August, following a reduction in global interest rates after weaker-than-expected US labour market data for July 2025.

Wholesale interest rate curves have steepened significantly over the past year. This steepening of the yield curve reflects the contrasting impacts of domestic and global factors on different parts of the curve.

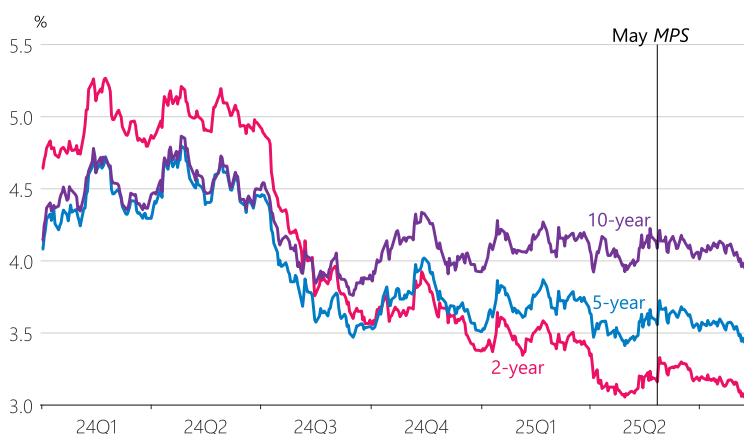
Figure 3.6
Financial market participants' expectations for the OCR



Source: Bloomberg.

The blue line shows expectations for the OCR immediately before the May Statement. Each data point represents market expectations of the level of the OCR at a given point in the future, as measured by overnight indexed swap pricing.

Figure 3.7
New Zealand interest rate swaps



Source: Bloomberg.

Domestically, expectations for monetary policy easing have been a key driver of lower short-term wholesale interest rates. In contrast, higher global long-term rates have put upward pressure on longer-term domestic wholesale interest rates, reflecting rising global term premia due to heightened uncertainty.

The New Zealand dollar has depreciated

As of 14 August, the NZD TWI had depreciated by 0.4 percent since the May *Statement* (figure 3.8). This largely reflects global factors, including stronger-than-expected US GDP data for the June 2025 quarter and the July 2025 monetary policy decisions in Australia and the US. An appreciation in the euro due to accommodative fiscal policy has also put downwards pressure on the NZD TWI. Weaker domestic economic data have also contributed to a broad-based decline in the TWI.

However, the NZD TWI has appreciated by around 2.1 percent since the start of 2025. Despite recent moves, the USD has generally been weak in 2025. This was most pronounced in April 2025 following US tariff announcements. The USD, along with the currencies closely linked to it (the Chinese yuan, the Hong Kong dollar, and the Vietnamese dong) account for 40 percent of New Zealand's TWI basket.

Mortgage rates have declined, and mortgage holders are increasingly fixing for longer terms

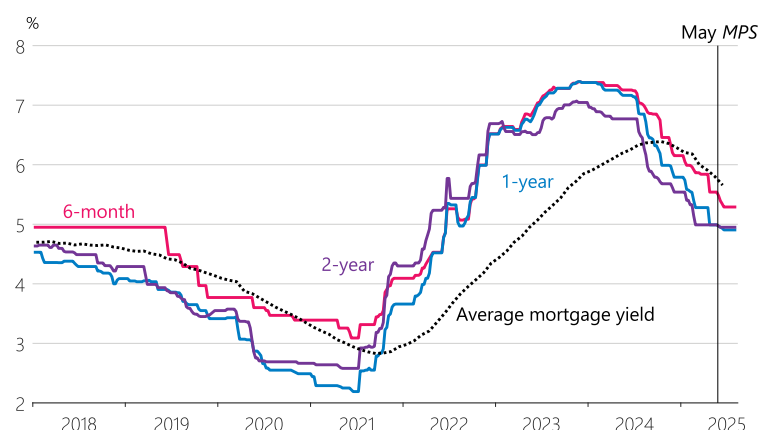
Mortgage rates are slightly lower than at the time of the May *Statement* (figure 3.9). The largest decline was at the 6-month term. The declines in 1- and 2-year mortgage rates have been smaller, although these terms had the lowest rates at the time of the May *Statement*. The trend toward short-term mortgage fixing that began during the second half of 2024 contributed to a significant increase in the proportion of fixed mortgage lending repricing over recent quarters. However, this trend has started to reverse in recent months (figure 3.10). The proportion of fixed mortgage lending repricing each quarter is expected to fall over coming quarters as mortgages fixed for 1 year or more begin to make up a greater share of the stock of mortgages.

Figure 3.8
New Zealand dollar trade-weighted index
(nominal)



Source: RBNZ.

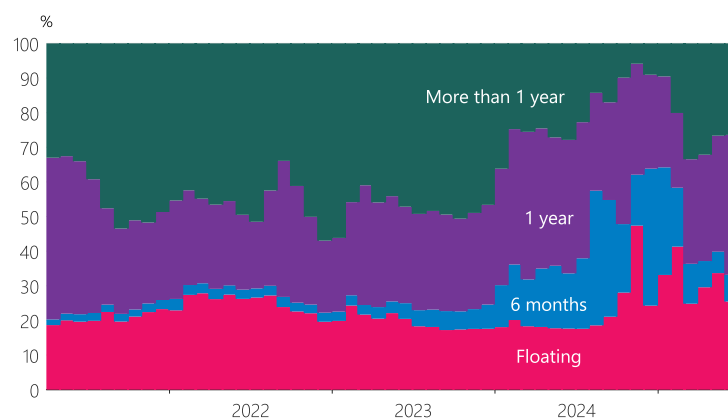
Figure 3.9
New Zealand mortgage rates



Source: interest.co.nz, RBNZ.

Note: The average mortgage yield is the monthly yield on the total stock of residential mortgages for registered banks. The other rates are the average of the advertised fixed-term rates on offer from ANZ, ASB, BNZ, and Westpac for mortgages with a loan-to-value ratio of less than 80 percent.

Figure 3.10
Proportion of new mortgage lending volume by tenor



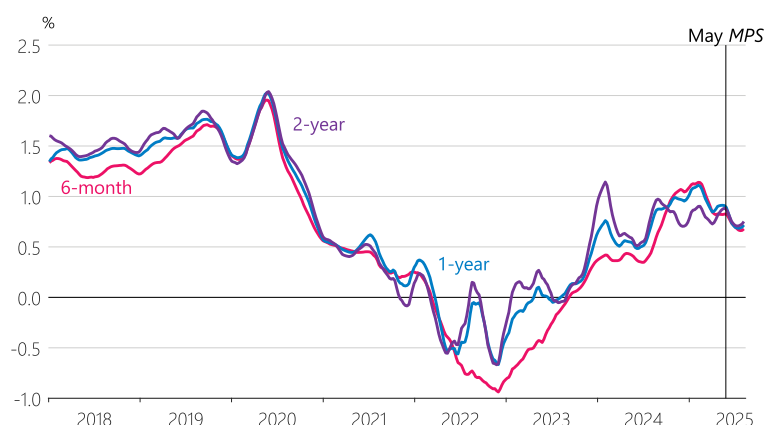
Source: RBNZ.

Our estimate of bank funding spreads has been stable. Strong bank funding positions and weak credit growth have reduced the need for banks to compete aggressively for term deposit funding. As a result, term deposit rates have declined by more than the equivalent wholesale interest rates over the first half of 2025 (figure 3.11). Lower term deposit spreads have offset the increase in relative costs of deposits held in on-call accounts, resulting in lower-than-otherwise bank funding spreads and a period of stable bank funding conditions.

We do not expect the Depositor Compensation Scheme to have a material impact on financial conditions over the horizons relevant for monetary policy. By reducing the risks to eligible deposits, the scheme incentivises depositors to spread deposits across multiple institutions. This may support funding for some smaller firms. There may also be some small adjustment in deposit rates: for example, to absorb the scheme levy or in response to the extra protection provided by the scheme. Overall, these effects are likely to be at the margin and we do not expect any material effect on credit availability or financial conditions.

Figure 3.11

Term deposit spreads to wholesale rates (8-week moving average)



Source: interest.co.nz, Bloomberg, RBNZ estimates.

Chapter

04

Special topics

Chapter 4.

Special topics

Before the publication of each *Statement*, RBNZ staff provide analyses of some topical issues to the Monetary Policy Committee.

Topics for the August *Statement* included:

1. Household sector developments and outlook
2. Assessing developments in inflation expectations

Special topics in the past 12 months

Topic	Date/publication
How does uncertainty affect the New Zealand economy?	<u>May 2025 <i>Statement</i></u> (Chapter 4)
The transmission of higher global tariffs to the New Zealand economy	<u>May 2025 <i>Statement</i></u> (Chapter 4)
The implications of global tariffs for the New Zealand economy	<u>February 2025 <i>Statement</i></u> (Chapter 4)
Outlook for some of New Zealand's key commodity exports	<u>February 2025 <i>Statement</i></u> (Chapter 4)
Trends in production sectors of the New Zealand economy	<u>November 2024 <i>Statement</i></u> (Chapter 4)
Summary of recent business visits	<u>November 2024 <i>Statement</i></u> (Chapter 4)
Real interest rates and their effect on the economy	<u>November 2024 <i>Statement</i></u> (Chapter 4)
Price-setting behaviour in a low-inflation environment	<u>August 2024 <i>Statement</i></u> (Chapter 4)
Comparing macroeconomic conditions in economies at different stages of monetary policy easing	<u>August 2024 <i>Statement</i></u> (Chapter 4)

1

Household sector developments and outlook

Summary

- **Private consumption and residential investment together account for about two-thirds of economic activity in New Zealand.** Both are important for the transmission of monetary policy, and how they respond to lower interest rates is a key aspect of the inflation outlook.
- **Since the MPC began lowering the OCR, consumption has increased broadly as expected.** While consumption growth is currently subdued, declines in real and nominal interest rates over the past year will support higher growth over the medium term.
- **Residential investment has declined more than expected since 2022 but now appears to be stabilising.** Residential investment is expected to begin increasing from late 2025 because of lower interest rates, increasing population growth, and increasing real house prices.
- **Historically, consumption and residential investment in New Zealand have been tightly linked to house price cycles.** House price inflation has been lower than previously assumed over the past year.

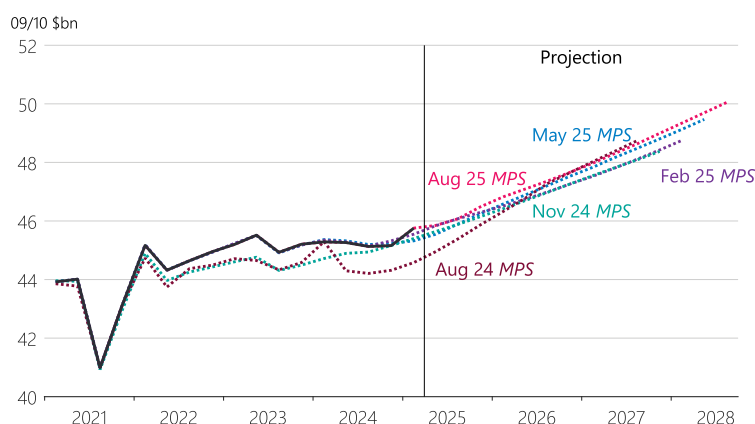
How have consumption and residential investment evolved compared to our forecasts?

Private consumption has grown broadly as expected since the **August 2024 Statement** (figure 4.1). Forecast errors have been

relatively small, especially in the context of substantial data revisions by Stats NZ. In the September 2024 quarter GDP release, the level of consumption was revised upwards materially from 2022 (see [box A in the February 2025 Statement](#)).

Figure 4.1

Private consumption (seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

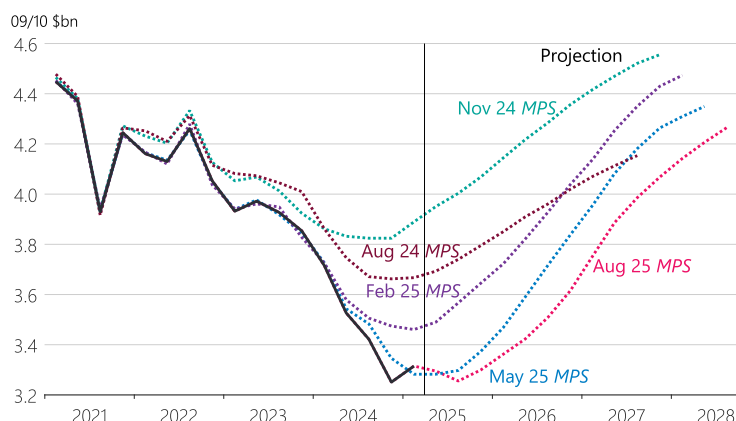
However, residential investment has been weaker than expected. Residential investment has decreased by more than we expected since the August 2024 *Statement*, partly reflecting historical revisions (figure 4.2). Residential investment appears to have reached about its trough in early to mid-2025. This is consistent with usual lags between residential investment and new building consents. The number of new building consents per month has been broadly unchanged over the past year. However, residential investment has fallen by more than expected, and by more than what historical relationships with building consents would suggest.⁹ The larger-than-expected fall in residential investment is consistent with real house prices being weaker than we expected over the same period.

Factors influencing household spending

Real interest rates have fallen quickly since late last year. When interest rates are lowered, the drop in returns makes saving less attractive, and households switch to consuming more instead. Lower interest rates also reduce debt-servicing costs, freeing up income to spend more on consumer goods and services. A range of real interest rate measures has been falling sharply from the last quarter of 2024 (figure 4.3). Lower interest rates take time to fully transmit to household spending, and will further support consumption over the medium term.

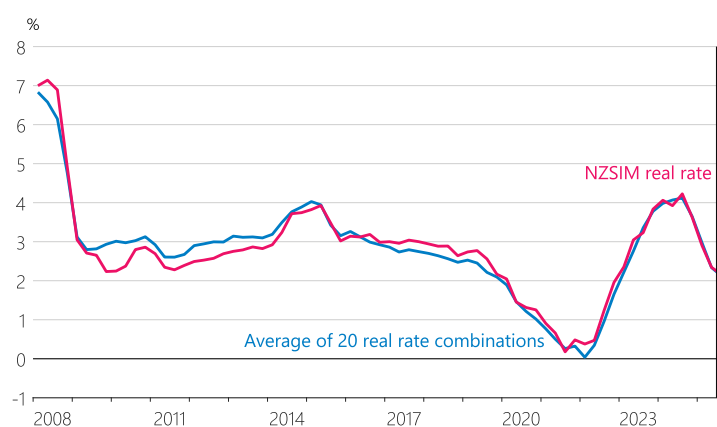
Mortgage holders continue to refix onto lower rates. Nominal interest rates on new mortgages fell substantially in the second half of 2024 (figure 3.9). Longer-term interest rates declined. However, in anticipation of further mortgage rate declines, a large share of households fixed for shorter terms at relatively high interest rates during 2024 (figure 3.10). This shift delayed the impact of lower mortgage rates at longer terms on household debt-servicing costs. More recently, households have begun to fix for longer terms at lower rates, meaning that less of their income will be spent on servicing their mortgages.

Figure 4.2
Residential investment
(seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

Figure 4.3
Real interest rates
(quarterly average)



Source: RBNZ estimates.

Note: The New Zealand Structural Inflation Model (NZSIM) is the Reserve Bank's central forecasting model. The real interest rate measure in NZSIM uses a mortgage rate measure based on the OCR plus a representative spread between mortgage rates and wholesale rates at popular borrowing terms. The average of 20 combinations includes combinations of five nominal interest rates and four measures of inflation expectations (see [chapter 4.3 in the November 2024 Statement](#)). This average has been rescaled to have the same mean and standard deviation as the NZSIM real rate over this period for comparability.

Household income growth is weak, reflecting falling employment and declining wage growth. Real household disposable income is made up of nominal income from labour and other sources deflated by consumer prices. At an aggregate level it has been relatively stagnant since 2021 (figure 4.4). On a per capita basis, real incomes declined over this period. This has limited household spending.

⁹ The weakness in residential investment relative to building consents may be explained by an increase in the delay between the issuance of consents and the commencement of construction, an increase in the time taken to complete building projects, and an increase in the share of consents that are issued but never completed.

In aggregate, household consumption has exceeded household income since the beginning of 2022. Historically, New Zealand households have, in aggregate, tended to spend more than they earn (figure 4.5). However, households managed to save during the COVID-19 pandemic, when spending opportunities were limited by pandemic-related restrictions and the government provided income support. Since then, the aggregate household saving rate has now declined back to pre-COVID-19 levels. This implies that there is less scope for growing household consumption in the absence of an increase in income growth. Another factor that could constrain consumption is that inflation for less discretionary spending such as for food, electricity, and council rates is relatively high. This leaves less income available for discretionary spending.

Housing dominates household assets in New Zealand, and so declining real house prices are reducing household wealth.

Annual house price growth has been lower than annual CPI inflation since mid-2022. As a result, real household wealth has been declining over the same period (figure 4.6). Growth in wealth from other sources is also currently low.

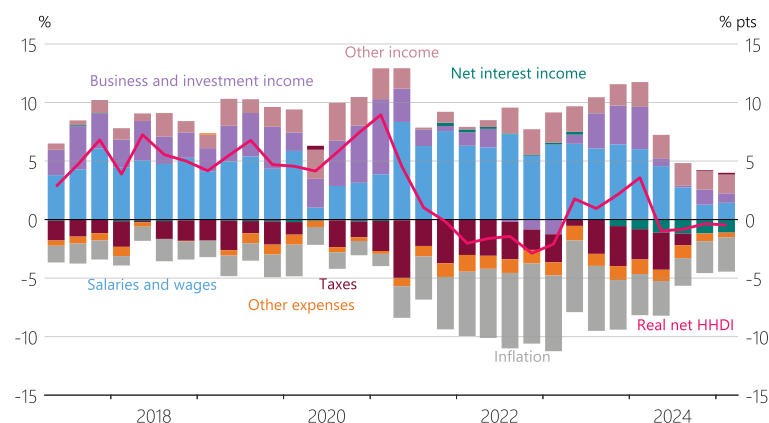
Household wealth can be an important determinant of household spending.

Households tend to spend more and save less when their net wealth increases. House prices are also an important determinant of residential investment. When house prices rise relative to the cost of building houses, it encourages the construction of new houses.

Low population growth, reflecting low net immigration, is reducing growth in aggregate household income, spending, and rents. Reserve Bank research has found that increases in net immigration flows support residential investment, rents, and overall economic activity in New Zealand.¹⁰ Annual net immigration has fallen from a peak of around 2.6 percent of the working-age

Figure 4.4

Composition of real household sector income growth (annual)

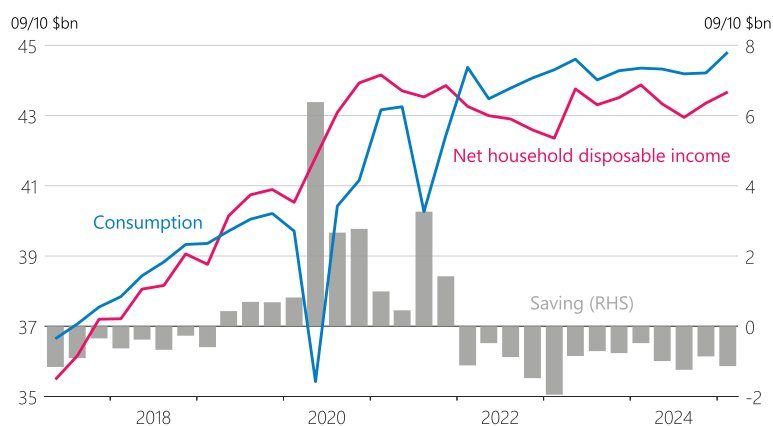


Source: Stats NZ, RBNZ estimates.

Note: For illustrative purposes, compared to the categories reported by Stats NZ we have recategorised interest payments on rental properties into net interest income instead of business income. Net HHDI represents net household disposable income.

Figure 4.5

Household sector real net disposable income, consumption, and saving (seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

population in mid-2023 to around 0.2 percent in mid-2025 (figure 2.4). Slower population growth has been an important contributor to recent subdued aggregate consumption growth. Net immigration is assumed to increase slowly over the medium term, reflecting New Zealand's relatively weak labour market.

¹⁰ See for example Bentley, Cassino and Ngo (2023), *What Drives Rents in New Zealand? National and Regional Analysis*; Smith and Thoenissen (2018), *Migration and Business Cycle Dynamics*; Javed, Power and Richardson (2025), *Immigration and the New Zealand economy* (forthcoming).

The outlook for consumption and residential investment

Our projection assumes that consumption and residential investment will rise considerably over the medium term, enabling the output gap to close. However, it is uncertain whether consumption and residential investment will increase by as much as we assume. As discussed above, house prices and household wealth are important drivers of household spending. Historically, house price cycles have correlated reasonably closely with those in consumption and residential investment (figure 4.7).

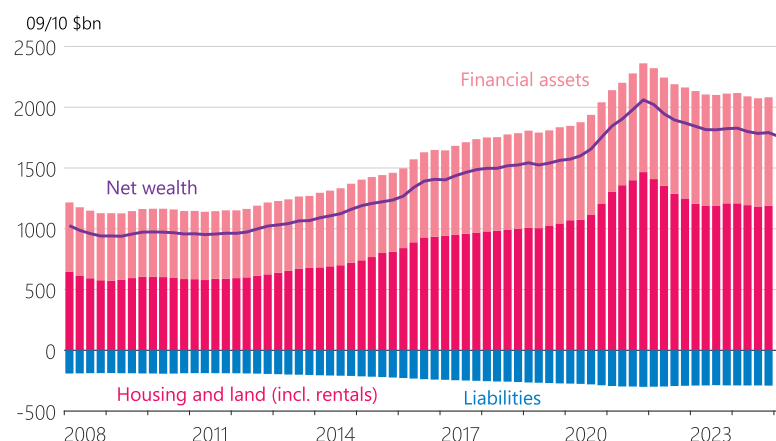
Annual consumption growth is expected to increase to almost 3 percent in 2026, in response to lower interest rates.

Consumption growth is assumed to increase over the coming year as lower interest rates transmit to spending, income, and wealth broadly in line with historical relationships. However, given that house prices have been lower than expected over the past year, there is some risk that house price growth remains subdued and consumption growth will be lower as a result. In contrast, if house price growth increases more quickly than assumed, consumption growth could be higher.

Residential investment is expected to remain around current levels, increasing only from late 2025. Building consents have been broadly flat over the past year, suggesting that residential investment will be broadly flat over 2025. The projection assumes that residential investment will then recover over 2026 and 2027 as house prices and population growth increase.

Figure 4.6

Real household wealth

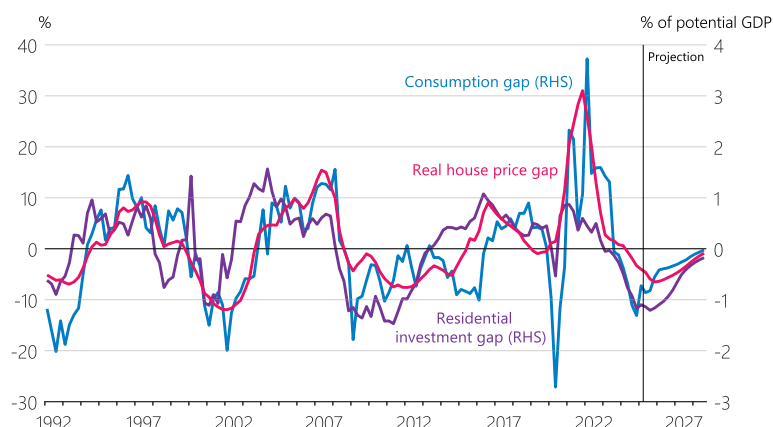


Source: Stats NZ, RBNZ estimates.

Note: Compared to the categories reported by Stats NZ, we have recategorised the implied value of rental property from equity in unincorporated businesses to housing and land, and the value of loans on rental properties from equity in unincorporated business to loans. Components of net wealth are not available for the March 2025 quarter.

Figure 4.7

Cyclical gaps of real house prices, consumption, and residential investment (deviation from trend)



Source: Stats NZ, RBNZ estimates.

Note: Gaps are the deviations from the assumed long-run trends used in the Reserve Bank's main forecasting model, NZSIM.

2

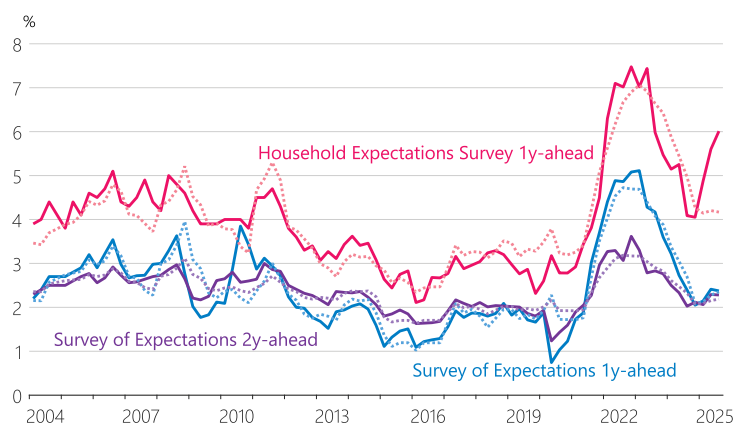
Assessing developments in inflation expectations

Summary

- Inflation expectations can play an important role in shaping how inflation will evolve, as they influence how businesses set their prices and approach wage negotiations. At shorter horizons, inflation expectations measured from household and business surveys tend to move with changes in actual CPI inflation.
- **Surveyed inflation expectations have increased since the start of 2025.** Across most survey measures the increases are small and can be explained by the recent increase in annual CPI inflation.
- However, mean 1-year-ahead household inflation expectations have increased beyond what can be explained by recent inflation outcomes alone. This trend has been observed across several advanced economies, suggesting the influence of common global factors such as tariffs or heightened geopolitical tensions. Higher food or other ‘salient’ prices may also be a factor. However, our analysis suggests they can explain only a small part of the recent rise in household inflation expectations in New Zealand.
- **We monitor a broad set of indicators to assess inflationary pressures in the economy.** Our analysis suggests that modelled ‘adaptive’ measures — derived from past inflation outcomes — perform best at predicting non-tradables inflation.

Figure 4.8

New Zealand surveyed inflation expectations and predicted values based on past CPI inflation (annual)



Source: RBNZ, RBNZ estimates.

Note: Dotted lines indicate fitted values. Fitted values are derived from equations estimated with lags of annual CPI inflation.

Household inflation expectations have increased sharply

Inflation expectations influence how inflation will evolve. Expectations of higher future inflation can motivate businesses to set higher prices and workers to demand higher wages, leading to higher actual inflation. Longer-term inflation expectations reflect the credibility of the central bank in meeting its inflation target.

Across all surveys, short-term inflation expectations have increased since the beginning of the year, most notably among households. Long-term inflation expectations have remained near 2 percent in our Survey of Expectations across professional forecasters and business leaders, while 5-year-ahead household inflation expectations rose further in the third quarter of 2025.¹¹

¹¹ Measures from the new Tara-ā-Umanga Business Expectations Survey have also increased. Given the relatively short history of this survey, it is not yet possible to say whether this is normal. Therefore, these data are not included in the analysis.

Movements in shorter-term inflation expectations usually correlate well with recent inflation outcomes. This correlation has continued for expectations from the RBNZ Survey of Expectations (figure 4.8). However, since the start of 2025, 1-year-ahead household inflation expectations have increased significantly more than would be expected based on actual inflation.¹²

There are several possible reasons for elevated 1-year-ahead household inflation expectations

First, households may focus disproportionately on ‘salient prices’ when forming their inflation expectations.¹³

Salient prices are the prices of frequently purchased or highly visible items such as food, petrol, energy, or council rates. Our analysis suggests that salient prices explain a small portion of the recent rise in household inflation expectations.

Second, households may remain more price-sensitive and attentive to prices given recent high inflation. Previous Reserve Bank research found that households pay more attention to inflation developments during times of high inflation.¹⁴ This may amplify the normal impact of price increases on their expectations.

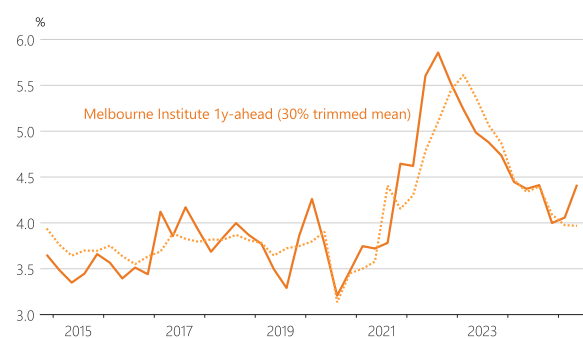
Third, some households may see global factors such as tariffs or geopolitical tensions adding to inflationary pressures.

This is plausible given that household inflation expectations have also recently increased in some other small open advanced economies (figure 4.9). We anticipate that higher US tariffs will reduce inflation pressures slightly in New Zealand. However, global media reports frequently focus on tariffs leading to price increases in other parts of the world, which may be nudging up inflation expectations here.

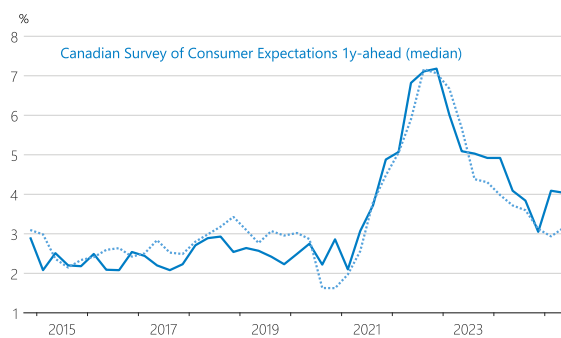
Figure 4.9

Surveyed household inflation expectations and fitted values (annual)

a. Australia



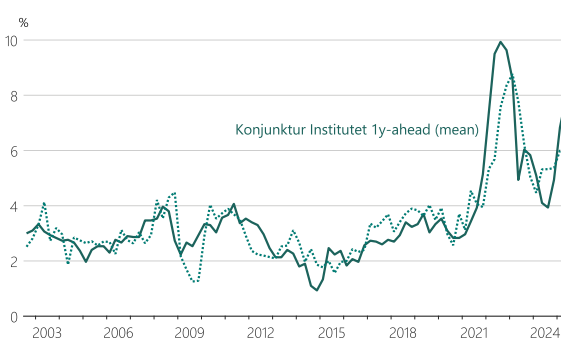
b. Canada



c. Norway



d. Sweden



Source: Melbourne Institute, Bank of Canada, Konjunktur Institutet, Norges Bank, RBNZ estimates.

Note: Dotted lines indicate fitted values derived from equations estimated with lags of headline inflation. Solid lines are the published household 1-year ahead inflation expectations considered by the country's central bank.

12 Median 1-year-ahead household inflation expectations have increased by less than mean expectations and stayed flat at 4 percent since the March 2025 quarter. This reflects an increase in the share of households expecting high inflation rates.

13 For example, see Brassil et al. (2024) and D'Acunto et al. (2024).

14 See Bayarmagnai (2023), *Rational inattention to inflation among New Zealand households*.

It is best to use a broad set of ‘price-setting’ measures to assess inflationary pressures

We used a Phillips curve equation to investigate the predictive power of various indicators of inflationary pressures for non-tradables inflation.¹⁵ We assessed the forecast performance of surveyed inflation expectations measures, as well as various modelled ‘adaptive’ measures of price-setting behaviour. These measures are modelled on the assumption that price-setting behaviour adapts over time to changes in actual inflation.¹⁶ We also assessed cost expectations and selling price measures from the Quarterly Survey of Business Opinion and ANZ Business Outlook surveys.

Elevated household inflation expectations do not necessarily mean higher inflationary pressure. Adaptive measures of price-setting behaviour that give more weight to recent inflation have performed best at forecasting non-tradables inflation one quarter ahead. This finding aligns with previous analysis by Kendall and Sing (2025). We also find that surveyed cost expectations and selling price variables provided the most signalling power during the COVID-19 surge and subsequent decline in inflation. This suggests they may be helpful for signalling large changes in inflationary pressure. Surveyed measures of inflation expectations had less predictive power than other indicators, with the household measure performing slightly worse than the others.¹⁷

It is best to use a broad set of measures to assess inflationary pressures in the economy, rather than relying on any one measure. Our analysis suggests that most of the variation in non-tradables inflation can be explained by its lagged value and changes in the output gap. Adding the various indicators of price-setting behaviour and inflation expectations helped improve near-term forecasts only slightly.

Recent increases in surveyed inflation expectations reduce the downside risk to our assumptions of price-setting behaviour

Along with the output gap, price-setting behaviour is a key driver of non-tradables inflation in the Reserve Bank’s core forecasting model, NZSIM. In the August 2024 *Statement*, we revised our assumptions for price-setting behaviour over the medium term to respond faster to falling inflation. This was because our modelling exercises showed that adaptive measures, which are more sensitive to recent inflation, performed best at explaining non-tradables inflation. This change led to a lower path for inflationary pressure in the projection. At the time, we noted that survey measures of inflation expectations had been declining even more rapidly than these measures, which was a possible downside risk.

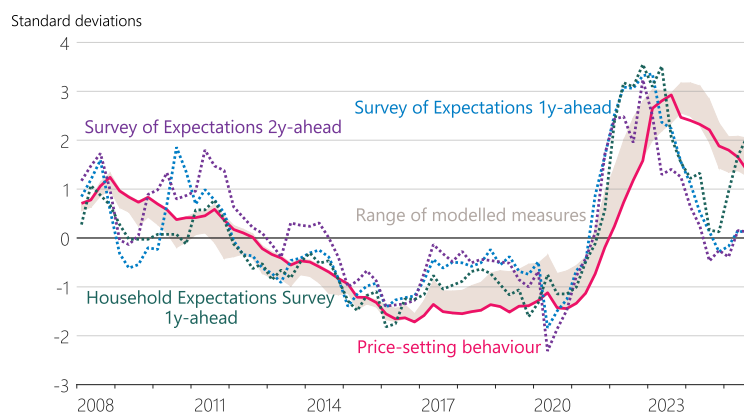
¹⁵ This Philips curve equation models non-tradables inflation as a function of its own lag, the output gap, real wages, and a measure of price-setting behaviour or inflation expectations. It is similar to the Phillips curve equation in the Reserve Bank’s core forecasting model, NZSIM.

¹⁶ For more details, see Kendall and Sing (2025), *How well do different measures of price-setting behaviour explain non-tradables inflation?*

¹⁷ This result differs from those found in previous RBNZ research by Chadwick and Smith (2023), *Great Expectations: performance of survey inflation expectations at improving model-based inflation forecasts*, likely due to differences in the functional form of the regression equations, the forecast horizons evaluated, the indicators included in the exercise, and the sample periods examined.

The recent increase in household inflation expectations has brought it more in line with the range suggested by our modelled measures of price-setting behaviour (figure 4.10). While the 1-year-ahead household inflation expectations measure is not one of our strongest indicators for how price-setting behaviour evolves, we consider it alongside our range of adaptive and other survey measures. The recent increase in household inflation expectations removes some of the downside risk to our assumption for price-setting behaviour in NZSIM that the survey measures previously presented (see [chapter 4.1 in the August 2024 Statement](#) for further discussion).

Figure 4.10
Indicators of price-setting behaviour and inflation expectations



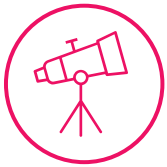
Source: RBNZ estimates.

Note: Measures have been standardised over history to make them comparable given differences in historical averages and degrees of variability between measures. Price-setting behaviour shows the current assumption used in our projections. The vertical axis shows how many standard deviations away from its historical average each measure is, where zero indicates the historical average. The shaded area shows the range of modelled measures, which include adaptive measures of the form used in NZSIM with varying sensitivities to recent inflation, and a measure based on the simple average of headline inflation over the past 3 years.

Chapter 05

Economic projections





Chapter 5. Economic projections

This chapter summarises the economic projections that the MPC considered when making their policy assessment. The projections were finalised on 14 August 2025.

Significant spare capacity has emerged in the New Zealand economy over the past year. A broad range of data suggests that economic activity contracted in the June 2025 quarter. Spare capacity is assumed to have increased further in the June 2025 quarter and is putting substantial downward pressure on core inflation. Headline inflation has increased recently, accounted for by higher prices for traded goods and services, but this is not expected to persist. Lower interest rates are supporting economic growth, which will contribute to the output gap closing over the medium term.

These projections assume global tariff policy as of 14 August. Higher US and retaliatory tariffs are expected to cause lower-than-otherwise world economic growth, and have an overall small disinflationary effect in New Zealand. US trade policy is highly changeable, and its effects on the world economy are uncertain.

We assume elevated global economic uncertainty causes weaker-than-otherwise business investment and household consumption in New Zealand. To date, indicators of economic uncertainty have declined broadly as assumed in the *May Statement*. However, it is possible that economic uncertainty has had a greater negative effect on New Zealand's economic activity than assumed.

Prices for New Zealand's exports are high, supporting exporter incomes. All else equal, high export prices add to inflationary pressure and support economic activity.

Annual CPI inflation is expected to increase to the top of the 1 to 3 percent target band in the September 2025 quarter, but is

expected to decrease toward the target mid-point over the next year. The increase in CPI inflation is accounted for by tradables components including dairy and meat prices, which do not typically contribute to persistent inflationary pressure. Non-tradables inflation has continued to decrease, and is approaching a level consistent with CPI inflation near the 2 percent target mid-point.

The New Zealand labour market has continued to weaken. The unemployment rate increased to 5.2 percent in the June 2025 quarter, while the employment rate and participation rate decreased. We project the unemployment rate to increase slightly further in the near term, before decreasing over the projection in line with the recovering output gap. Same-job wage growth has decreased to a level consistent with headline inflation near the target mid-point.

We project the OCR will continue to be reduced. The negative output gap is putting downward pressure on inflation. This is offsetting price-setting behaviour, which remains elevated following the recent period of higher inflation. Price-setting behaviour is assumed to continue to adapt to a low-inflation environment over the medium term. Lower interest rates are required to support the output gap to close over the projection, so that CPI inflation settles at the 2 percent target mid-point.

These projections represent what we believe to be the most likely path for the economy, conditional on a range of assumptions. However, it is only one of many possible paths. Global economic developments and the evolution of the domestic economy are likely to be different to our assumptions.

Table 5.1

Key projection assumptions

Key assumptions	
Domestic capacity pressures	- The output gap is assumed to remain low for the remainder of 2025 (-1.8 percent of potential GDP in the September 2025 quarter). This is about 0.2 percentage points lower than assumed in the <i>May Statement</i>. - Potential causes of this weakness include: - a greater-than-assumed effect from elevated uncertainty; - a reduction in government investment and consumption; - slower- or weaker-than-assumed monetary policy transmission; - a lower neutral interest rate than we have assumed; - an uneven recovery across sectors; - some combination of the above or other factors. - It is not possible to isolate which of these has been the cause in real time. However, weaker economic activity is assumed to result in less inflationary pressure over the medium term than assumed in the <i>May Statement</i>. - We assume that lower interest rates and high export prices will support higher growth over the next year.
Global factors	- The projection assumes US tariff policy will cause lower-than-otherwise trading-partner economic growth, and is slightly disinflationary for New Zealand overall. - We assume tariff policies reduce growth in New Zealand's trading partners by about 0.5 percentage points over the next year. This is expected to dampen demand for New Zealand's exports, all else equal. - However, prices for New Zealand's key export commodities have increased significantly in the past year. Fiscal stimulus in China has contributed to demand for New Zealand's exports, and constrained supply of dairy and meat products in the global market has also contributed to higher prices. We assume New Zealand's export prices will decrease gradually in real terms towards their long-term average over the medium term. - Import prices, as measured in the System of National Accounts, were higher than we had assumed in the March 2025 quarter. We continue to assume import prices will decrease in real terms over the medium term. - We assume the Dubai crude oil price remains at US\$67 per barrel, in line with current futures pricing. - World policy interest rates are expected to decrease more quickly than at the time of the <i>May Statement</i>. All else equal, this puts upward pressure on the New Zealand dollar and decreases tradables inflation in New Zealand. - The New Zealand dollar trade-weighted index (TWI) is assumed to remain at 68.0 over the projection.
Economic uncertainty	- In the <i>May Statement</i>, we accounted for a substantial increase in measures of economic uncertainty that had occurred following US tariff announcements. Economic uncertainty was assumed to have material negative effects on business investment and household consumption in New Zealand, over and above the usual effect of weaker global growth. - Our projections maintain a similar assumption, allowing for updated starting points in March 2025 quarter GDP data. We assume the effect of uncertainty on the output gap is less persistent than in the <i>May Statement</i>, consistent with declines in non-news based uncertainty measures.

Economic growth

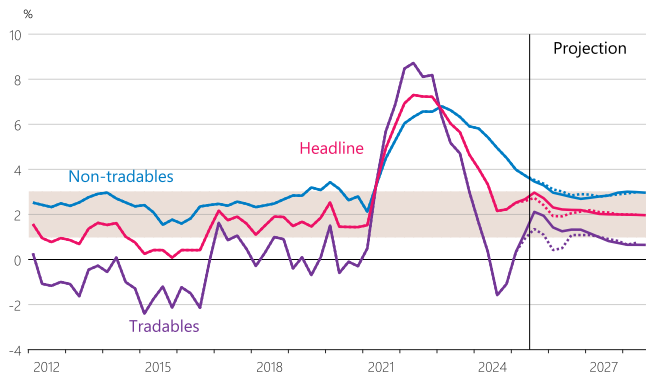
Production	• We assume that GDP growth was -0.3 percent in the June 2025 quarter, and remains relatively subdued at 0.3 percent in the September 2025 quarter. • Our forecasts for near-term GDP growth account for possible residual seasonality in the headline production measure. Although the headline measure is seasonally adjusted, it currently appears to have a remaining predictable seasonal pattern. This likely reflects challenges with seasonal adjustment following the COVID-19 period and shifts in the industry composition of the economy into industries with strong seasonality. Reported quarterly GDP growth may be overstated in December and March quarters and understated in June and September quarters. • GDP is expected to increase more quickly than potential GDP from the December 2025 quarter onwards, supported by lower interest rates, waning uncertainty, and the lagged effect of high export prices. The output gap is assumed to close by the beginning of 2028.
Consumption	• Consumption began to increase in late 2024 in response to lower interest rates. Consumption growth appears to have slowed in the June 2025 quarter, possibly in part due to heightened uncertainty caused by US trade policy. • Consumption remains significantly below its trend level. We expect consumption to return to trend over the medium term as uncertainty wanes, lower interest rates encourage household spending, and house prices gradually increase. • Our forecasts for near-term consumption account for a possible misallocation between consumption and exports of travel services. It appears that consumption was understated in the December 2024 quarter and overstated in the March 2025 quarter, with offsetting impacts in exports of travel services. We assume this issue does not affect total GDP. • House prices have decreased over the past few months, below our expectation of modest growth in the May <i>Statement</i>. Lower house prices are assumed to contribute to lower-than-otherwise consumption growth, which reduces inflationary pressure. • House prices are within our suite of sustainable house price estimates, which means current house prices are consistent with long-term fundamental factors. However, asset price valuation is inherently uncertain. Our estimates of the sustainable house price level are particularly sensitive to expectations of long-term interest rates. We assume house prices will grow in line with wages in the medium term, after accounting for near-term momentum.
Business investment	• Business investment increased unexpectedly at the end of 2024 and the start of 2025, mainly accounted for by investment in plant, machinery, and equipment. • We assume business investment will decline in the near term in response to the negative output gap and elevated uncertainty. • Business investment is expected to recover over the medium term as the effect of uncertainty wanes and the output gap closes. The Investment Boost policy is assumed to support business investment over the projection.
Residential investment	• Residential investment has decreased about 22 percent since 2022, but increased slightly in the March 2025 quarter following six quarters of consecutive contraction. Timely indicators suggest activity in home building will remain broadly stable this year. • We assume residential investment will begin to increase in 2026 in response to lower mortgage rates and increasing real house prices.

Government	• Government spending is assumed to be consistent with the fiscal forecasts in <i>Budget 2025</i>, updated for new data released for the March 2025 quarter. • Government investment has decreased in 2025, contributing to the slowdown in economic activity. Government investment is projected to increase in 2026. • Government consumption was higher in the March 2025 quarter than projected in <i>Budget 2025</i>. This flows through to a higher-than-otherwise projection for government consumption in the medium term. We assume that government consumption declines over the rest of 2025. • Government spending contributes a similar amount to inflationary pressure over the medium term relative to the <i>May Statement</i>.
Exports and imports	• Export volumes were lower than assumed in the March 2025 quarter, primarily because of lower-than-expected services export volumes. Following this, monthly merchandise trade data suggests goods export volumes have decreased more than expected in the June 2025 quarter. This has led to a lower starting point for export volumes, which we assume will recover at a slightly faster pace than potential GDP over the medium term. • Import volumes are assumed to evolve in line with other components of GDP over the medium term.
Labour market	
Employment and wages	• The New Zealand labour market continued to weaken in the June 2025 quarter. The unemployment rate increased to 5.2 percent, and the employment rate and labour force participation rate declined. • We assume the unemployment rate will reach its peak at 5.3 percent in the September 2025 quarter before gradually declining. Greater excess capacity relative to the <i>May Statement</i> leads to a slightly higher unemployment rate over the medium term. • Annual same-job wage growth decreased to 2.3 percent in the June 2025 quarter (LCI – private sector salary and wage rates, ordinary and overtime). Same-job wage growth is assumed to decrease slightly further due to current weak labour market conditions.
Migration	• Net working-age immigration in the March 2025 quarter was revised lower and only increased slightly in the June 2025 quarter. We assume a gradual increase in net working-age immigration over the medium term, to an annual rate of about 30,000, as the labour market recovers.

Inflation	
Headline inflation	• Annual CPI inflation increased to 2.7 percent in the June 2025 quarter. Annual inflation excluding administered prices was 2.0 percent in the June 2025 quarter. • Annual CPI inflation is expected to increase to 3.0 percent in the September 2025 quarter before declining to near the target mid-point in the June 2026 quarter.
Non-tradables	• Annual non-tradables inflation decreased to 3.7 percent in the June 2025 quarter, in line with the May <i>Statement</i>. We expect the negative output gap to continue to reduce non-tradables inflation as price-setting behaviour continues to adapt to a low-inflation environment. We project annual non-tradables inflation will decrease to 2.7 percent in 2026, before stabilising at about 3 percent from 2027. • Administered and policy-affected price changes are having a significant influence on non-tradables inflation at present. These include prices such as council rates, electricity prices, university fees, and vehicle relicensing fees. In part, this reflects catch-up following relatively low increases in administered prices during the 2021 to 2023 high inflation period. Central and local government charges, as measured in the CPI, increased 10.8 percent in the year to the June 2025 quarter. Annual non-tradables inflation excluding government charges was 2.6 percent in the June 2025 quarter.
Tradables	• Annual tradables inflation increased to 1.2 percent in the June 2025 quarter. Tradables inflation is expected to increase further in the near term, before gradually decreasing. Higher food prices have been the main contributor to higher tradables inflation, but are not expected to contribute to persistent inflationary pressure. • In the medium term, annual tradables inflation is assumed to gradually decline to around 0.6 percent. Slowing economic growth in our trading partners is expected to contribute to easing tradables inflation over the medium term.

Charts

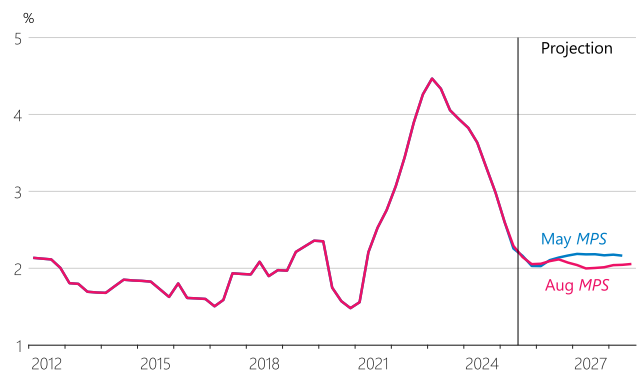
Figure 5.1
Inflation components
(annual)



Source: Stats NZ, RBNZ estimates.

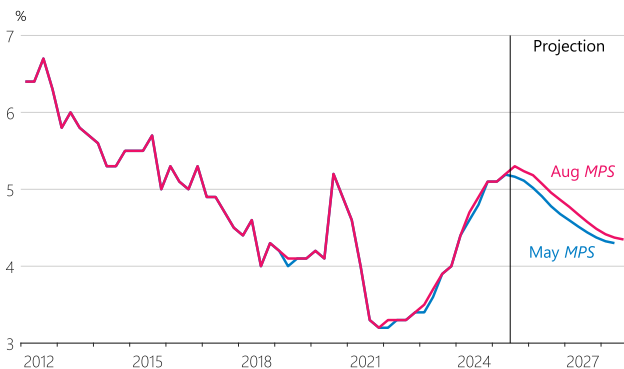
Note: Dotted lines show the projections from the May Statement. The shaded area represents the MPC's 1 to 3 percent target range for annual CPI inflation over the medium term.

Figure 5.2
Private sector LCI wage inflation
(annual)



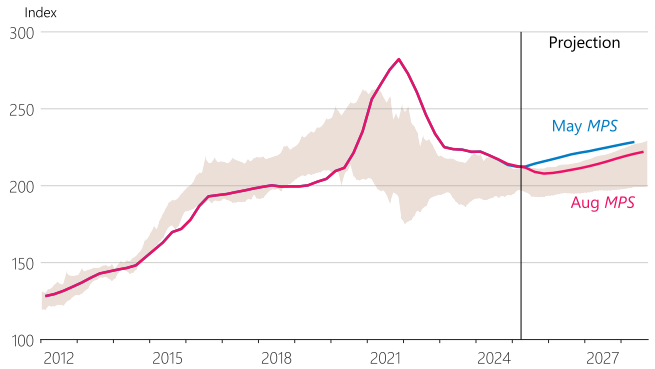
Source: Stats NZ, RBNZ estimates.

Figure 5.3
Unemployment rate
(unemployed people as a share of the labour force, seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

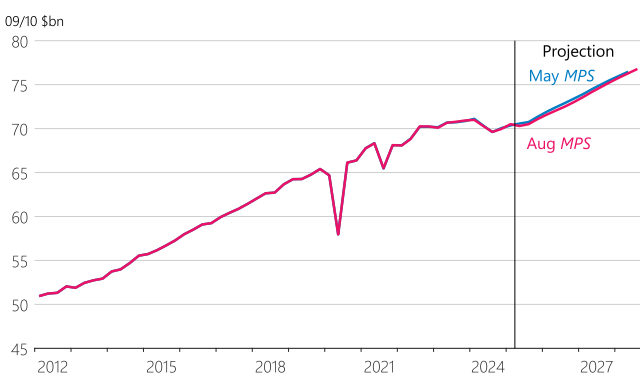
Figure 5.4
Real house prices and sustainable indicators
(index)



Source: CoreLogic, RBNZ estimates.

Note: See Brunton (2021), *Measures for assessing the sustainability of house prices in New Zealand*. The indicator range may be revised over time due to certain inputs being unobservable, such as neutral interest rates. The indicator range has been projected in line with our projections for wages and population growth. The projection assumes the neutral interest rate remains at its current level.

Figure 5.5
Production GDP
(seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

Figure 5.6
OCR
(quarterly average)



Source: RBNZ estimates.

Chapter

06

Appendices



Chapter 6.

Appendices

Appendix 1: Statistical tables

Table 6.1

Key forecast variables

		GDP growth Quarterly	CPI inflation Quarterly	CPI inflation Annual	Unemployment rate	TWI	OCR
2023	Mar	-0.2	1.2	6.7	3.5	71.3	4.5
	Jun	0.8	1.1	6.0	3.7	71.0	5.3
	Sep	0.2	1.8	5.6	3.9	70.6	5.5
	Dec	0.2	0.5	4.7	4.0	70.8	5.5
2024	Mar	0.1	0.6	4.0	4.4	71.6	5.5
	Jun	-1.0	0.4	3.3	4.7	71.4	5.5
	Sep	-1.0	0.6	2.2	4.9	70.9	5.4
	Dec	0.5	0.5	2.2	5.1	69.5	4.6
2025	Mar	0.8	0.9	2.5	5.1	67.8	4.0
	Jun	-0.3	0.5	2.7	5.2	69.1	3.4
	Sep	0.3	0.9	3.0	5.3	68.8	3.1
	Dec	0.8	0.3	2.7	5.2	68.0	2.7
2026	Mar	0.7	0.5	2.3	5.2	68.0	2.5
	Jun	0.6	0.5	2.2	5.1	68.0	2.6
	Sep	0.6	0.9	2.2	5.0	68.0	2.6
	Dec	0.7	0.3	2.2	4.9	68.0	2.6
2027	Mar	0.8	0.4	2.1	4.8	68.0	2.7
	Jun	0.8	0.4	2.0	4.7	68.0	2.7
	Sep	0.8	0.9	2.0	4.6	68.0	2.8
	Dec	0.7	0.3	2.0	4.5	68.0	2.8
2028	Mar	0.7	0.4	2.0	4.4	68.0	2.8
	Jun	0.6	0.4	2.0	4.4	68.0	2.8
	Sep	0.6	0.9	2.0	4.3	68.0	2.8

Table 6.2

Measures of inflation and inflation expectations

	2023	2024				2025		
	Dec	Mar	Jun	Sep	Dec	Mar	Jun	Sep
Inflation (annual rates)								
CPI	4.7	4.0	3.3	2.2	2.2	2.5	2.7	
CPI non-tradables	5.9	5.8	5.4	4.9	4.5	4.0	3.7	
CPI tradables	3.0	1.6	0.3	-1.6	-1.1	0.3	1.2	
Sectoral factor model estimate of core inflation	4.6	4.1	3.5	3.3	3.0	2.9	2.8	
CPI trimmed mean (30% measure)	5.0	4.5	3.8	2.7	2.5	2.2	2.4	
CPI weighted median	4.4	4.4	3.5	2.8	2.6	2.2	2.2	
GDP deflator (expenditure)	3.5	3.9	3.3	3.2	5.1	4.4		
Inflation expectations Survey of Expectations Tara-ā-Pūkenga (SOE)								
1 year ahead	3.6	3.2	2.7	2.4	2.0	2.1	2.4	2.4
2 years ahead	2.8	2.5	2.3	2.0	2.1	2.1	2.3	2.3
5 years ahead	2.4	2.3	2.3	2.1	2.2	2.1	2.2	2.3
10 years ahead	2.3	2.2	2.2	2.0	2.2	2.1	2.2	2.2
Inflation expectations RBNZ Business Expectations Survey Tara-ā-Umanga (BES)								
1 year ahead				2.2	2.1	2.3	2.4	2.5
2 years ahead				2.2	2.2	2.5	2.5	2.6
5 years ahead				2.8	2.8	3.0	3.1	3.2
10 years ahead				3.1	3.3	3.7	3.9	3.6
Inflation expectations RBNZ Household Expectations Survey Tara-ā-Whare (HES)								
1 year ahead	5.5	5.1	5.3	4.1	4.1	4.9	5.6	6.0
2 years ahead	3.2	3.6	3.6	3.1	3.7	3.9	4.7	4.6
5 years ahead	2.1	3.6	3.0	3.4	3.4	3.6	3.7	4.1

Table 6.3

Measures of labour market conditions*(seasonally adjusted, changes expressed in annual percent terms, unless specified otherwise)*

	2023		2024			2025	
	Dec	Mar	Jun	Sep	Dec	Mar	Jun
Household Labour Force Survey							
Unemployment rate	4.0	4.4	4.7	4.9	5.1	5.1	5.2
Underutilisation rate	10.8	11.3	11.9	11.7	12.2	12.4	12.8
Labour force participation rate	71.9	71.5	71.6	71.1	70.9	70.7	70.5
Employment rate (% of working-age population)	69.0	68.3	68.3	67.6	67.3	67.1	66.8
Employment growth	2.7	0.9	0.1	-0.6	-1.2	-0.7	-0.9
Average weekly hours worked	33.6	33.8	33.3	33.3	33.1	33.0	32.7
Number unemployed (thousand people)	123	134	143	148	156	156	158
Number employed (million people)	2.92	2.90	2.91	2.89	2.88	2.88	2.88
Labour force (million people)	3.04	3.04	3.05	3.04	3.04	3.04	3.04
Extended labour force (million people)	3.13	3.14	3.16	3.14	3.14	3.15	3.16
Working-age population (million people, age 15+ years)	4.23	4.25	4.26	4.28	4.29	4.30	4.31
Quarterly Employment Survey — QES							
Filled jobs growth	4.2	3.6	-0.2	-1.4	-0.9	-1.8	-1.2
Average hourly earnings growth (private sector, ordinary time)	6.6	4.9	3.9	3.2	4.0	3.8	4.6
Other data sources							
Labour Cost Index growth, adjusted (private sector, ordinary and overtime)	3.9	3.8	3.6	3.3	3.0	2.6	2.3
Labour Cost Index growth, unadjusted (private sector, ordinary time)	5.7	5.2	4.8	4.5	3.9	3.7	3.5
Estimated net working-age immigration (thousands, quarterly)	13.4	8.0	5.3	1.3	3.5	2.1	3.2
Change in All Vacancies Index*	-27.6	-27.3	-33.4	-31.4	-27.2	-21.7	-7.6

Note: The All Vacancies Index is produced by MBIE as part of the monthly Jobs Online report, which shows changes in job vacancies advertised by businesses on internet job boards. The unadjusted labour cost index (LCI) is an analytical index that reflects quality change in addition to price change (whereas the official LCI measures price changes only). For definitions of underutilisation, the extended labour force, and related concepts, see [Statistics New Zealand \(2016\), *Introducing underutilisation in the labour market*](#).

* The All Vacancies Index is a non-seasonally adjusted series.

Table 6.4

Composition of real GDP growth

(annual average percent change, seasonally adjusted, March years, unless specified otherwise)

March year	Actuals								Projection		
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Final consumption expenditure											
Private	4.8	4.5	2.4	0.2	6.4	3.3	1.0	0.2	2.2	2.6	2.7
Public authority	3.8	3.3	5.5	7.0	8.0	2.6	2.0	-0.8	-0.4	-0.2	0.5
Total	4.6	4.3	3.1	1.8	6.8	3.2	1.3	0.0	1.5	2.0	2.2
Gross fixed capital formation											
Residential	-1.8	-0.1	2.7	2.2	2.6	-2.0	-5.5	-12.6	-2.2	8.2	12.5
Other	9.8	7.0	2.8	-2.3	11.3	5.0	0.2	-3.2	0.0	5.5	5.5
Total	6.6	5.2	2.8	-1.2	9.1	3.3	-1.1	-5.2	-0.4	6.0	6.9
Final domestic expenditure	5.0	4.5	3.0	1.1	7.3	3.2	0.7	-1.2	1.1	2.8	3.3
Stockbuilding*	0.2	-0.2	-0.2	-0.3	0.6	0.3	-1.5	0.2	0.8	0.0	0.0
Gross national expenditure	5.5	4.3	2.7	-0.1	8.4	3.7	-0.7	-1.0	1.9	2.8	3.3
Exports of goods and services	3.8	3.3	0.2	-17.9	2.5	5.6	8.3	2.6	1.7	3.3	2.9
Imports of goods and services	7.8	4.8	1.4	-15.7	17.1	4.5	-1.2	1.6	3.0	3.8	3.9
Expenditure on GDP	4.3	3.9	2.4	0.2	4.6	3.9	1.5	-0.9	1.5	2.6	3.0
GDP (production)	3.4	3.5	2.3	-0.3	4.6	3.5	1.4	-1.0	1.1	2.7	3.0
GDP (production, March qtr to March qtr)	3.5	3.5	0.7	4.7	0.5	3.0	1.3	-0.7	1.5	2.8	3.0

* Percentage point contribution to the growth rate of GDP.

Table 6.5

Summary of economic projections

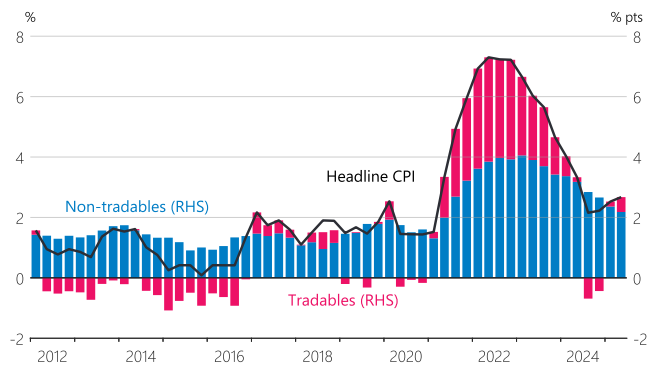
(annual percent change, March years, unless specified otherwise)

March year	Actuals								Projection		
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Price measures											
CPI	1.1	1.5	2.5	1.5	6.9	6.7	4.0	2.5	2.3	2.1	2.0
Labour costs	1.9	2.0	2.4	1.6	3.1	4.5	3.8	2.6	2.1	2.0	2.0
Export prices (in New Zealand dollars)	3.4	1.3	7.0	-6.0	20.8	1.1	-2.1	11.1	0.8	0.2	1.4
Import prices (in New Zealand dollars)	1.6	4.1	2.4	-2.4	18.7	7.9	-3.7	6.7	-2.6	-0.3	1.0
Monetary conditions											
OCR (year average)	1.8	1.8	1.2	0.3	0.5	3.1	5.5	4.9	3.0	2.6	2.8
TWI (year average)	75.6	73.4	71.7	72.4	74.0	71.2	71.0	69.9	68.5	68.0	68.0
Output											
GDP (production, annual average % change)	3.4	3.5	2.3	-0.3	4.6	3.5	1.4	-1.0	1.1	2.7	3.0
Potential output (annual average % change)	3.2	3.1	2.5	0.0	1.9	3.3	2.7	1.7	1.5	2.0	2.4
Output gap (% of potential GDP, year average)	0.4	0.7	0.5	0.1	2.8	2.9	1.7	-1.1	-1.5	-0.8	-0.2
Labour market											
Total employment (seasonally adjusted)	2.9	1.3	2.4	0.0	2.3	2.9	0.9	-0.7	0.8	2.6	2.3
Unemployment rate (March qtr, seasonally adjusted)	4.4	4.2	4.2	4.6	3.3	3.5	4.4	5.1	5.2	4.8	4.4
Trend labour productivity	0.7	0.8	1.0	1.0	0.9	0.6	0.5	0.5	0.4	0.4	0.4
Key balances											
Current account balance (% of GDP)	-3.1	-3.9	-2.4	-2.6	-6.7	-8.6	-6.6	-5.7	-4.7	-4.3	-4.4
Terms of trade (SNA measure, annual average % change)	4.5	-2.1	2.0	-1.0	0.4	-5.0	-1.3	3.1	5.3	0.8	0.3
Household saving rate (% of disposable income)	-2.0	-1.3	1.4	7.6	2.4	-3.0	-1.6	-2.4	-0.5	-0.9	-1.3
World economy											
Trading-partner GDP (annual average % change)	4.0	3.5	1.8	-0.4	6.3	3.0	3.2	3.0	2.4	2.8	2.8
Trading-partner CPI (TWI-weighted)	1.9	1.4	2.4	0.8	4.1	4.8	2.2	1.8	2.1	1.9	2.1

Appendix 2: Chart pack

Figure 6.1

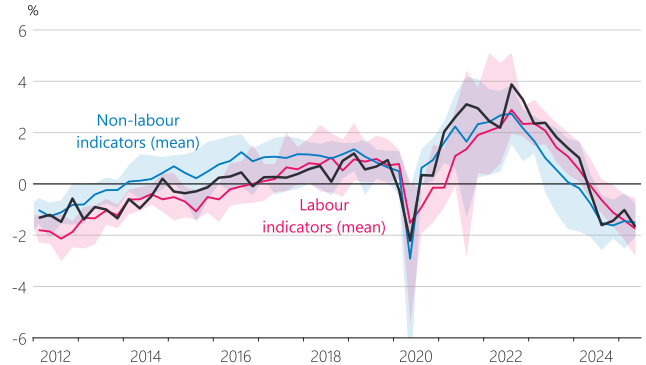
Composition of CPI inflation (annual)



Source: Stats NZ.

Figure 6.2

Output gap and output gap indicators (share of potential)

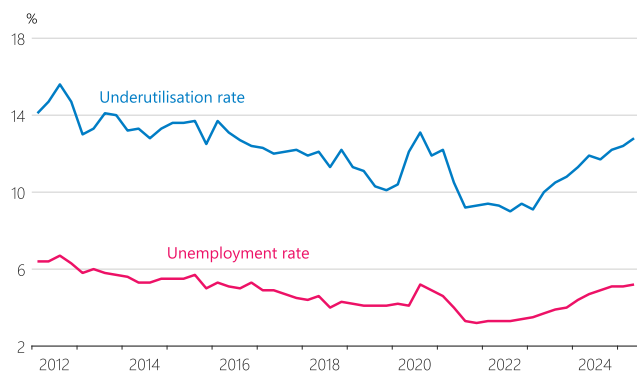


Source: NZIER, MBIE, Stats NZ, RBNZ estimates.

Note: The output gap indicators based on information from labour market surveys are shown separately from the other indicators. For each group of indicators, the shaded area shows the range of values and the line shows the mean value. The output gap estimate in the final quarter is based on our near-term GDP estimate.

Figure 6.3

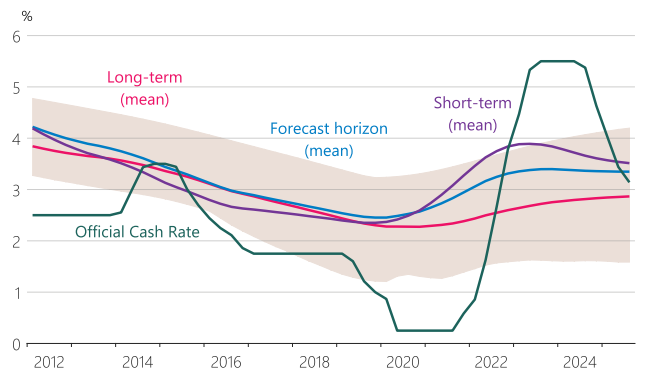
Unemployment and underutilisation rates (seasonally adjusted)



Source: Stats NZ.

Figure 6.4

OCR and nominal neutral OCR indicator suite (quarterly average)

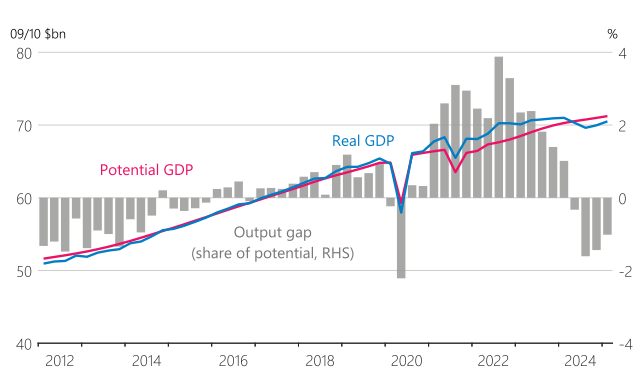


Source: RBNZ estimates.

Note: The shaded area indicates the range between the maximum and minimum values from our suite of long-run nominal neutral OCR indicators. See [Castaing et al. \(2024\), Estimates of New Zealand's nominal neutral interest rate](#).

Figure 6.5

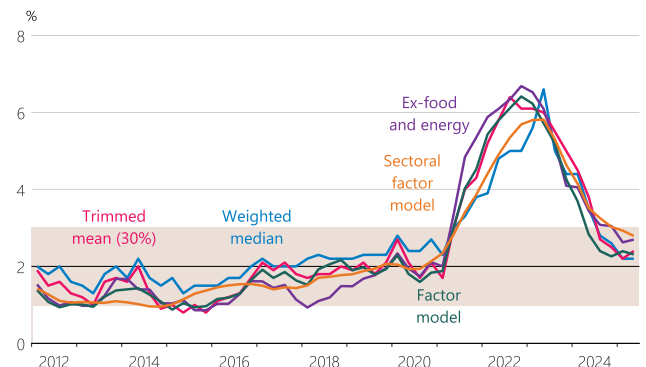
GDP and potential GDP (seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

Figure 6.6

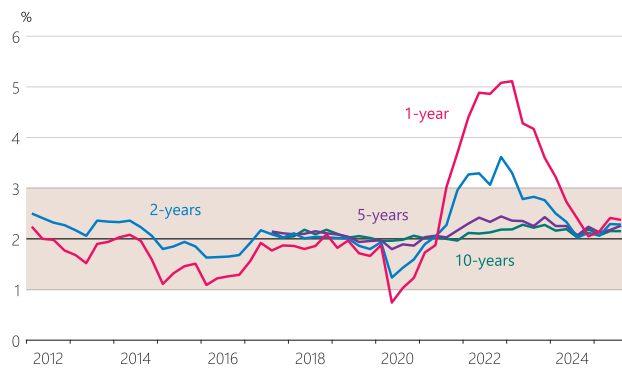
Measures of core inflation (annual)



Source: Stats NZ, RBNZ estimates.

Note: The shaded area represents the MPC's 1 to 3 percent target range for annual CPI inflation over the medium term.

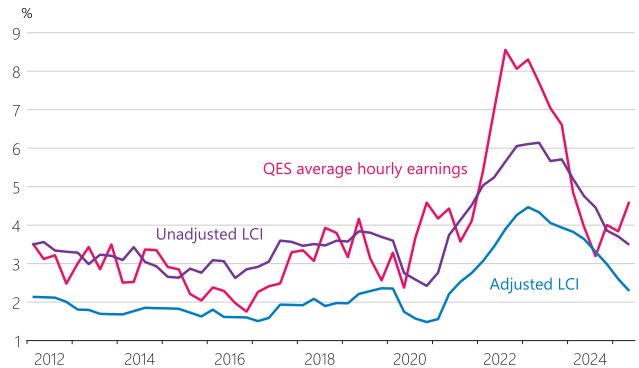
Figure 6.7
Inflation expectations
(annual, years ahead)



Source: RBNZ Survey of Expectations.

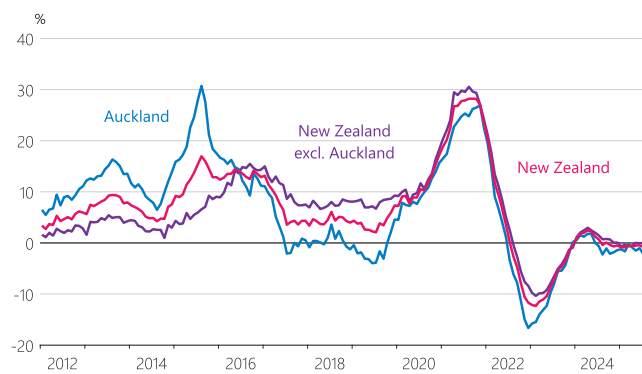
Note: The shaded area represents the MPC's 1 to 3 percent target range for annual CPI inflation over the medium term.

Figure 6.8
Private sector wage growth
(annual)



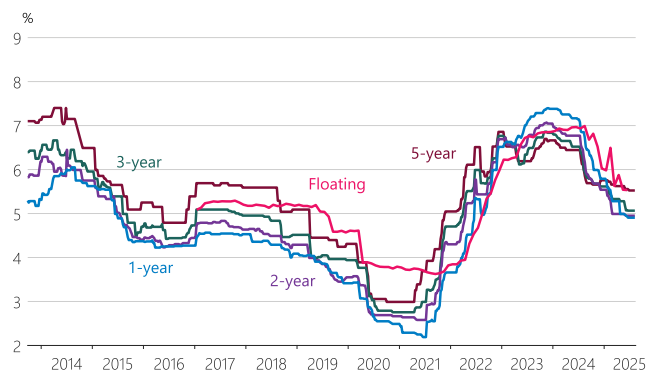
Source: Stats NZ.

Figure 6.9
House price inflation
(annual)



Source: REINZ.

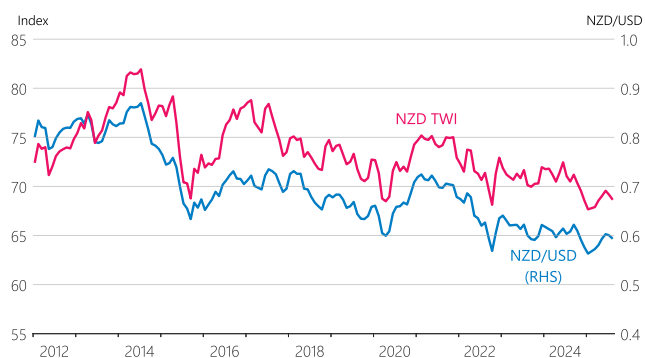
Figure 6.10
Mortgage interest rates



Source: interest.co.nz, RBNZ estimates.

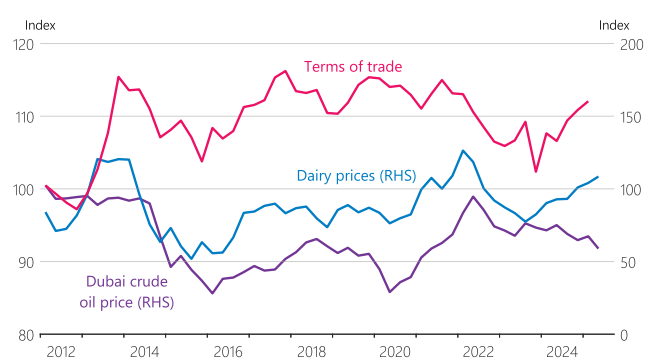
Note: The rates shown for the fixed terms are the average of the advertised rates from ANZ, ASB, BNZ, and Westpac, shown as weekly data. The floating rate represents the monthly yield on floating housing debt from the RBNZ Income Statement survey.

Figure 6.11
New Zealand dollar exchange rates
(monthly average)



Source: NZFMA, RBNZ.

Figure 6.12
Terms of trade, dairy, and oil price indices
(index = 100 in the September 2008 quarter, quarterly average)



Source: Stats NZ, Global Dairy Trade, Bloomberg, RBNZ estimates.



Reserve Bank
of New Zealand
Te Pūtea Matua

